

HF GROUP PLC

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2025

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Board of directors

The directors who served during the year and to the date of this report were:

Prof. Olive Mwhiki Mugenda PhD	Chairperson
Dr. Benson Irungu Wairegi	
Robert Ngugi Kibaara	
Dr. Peter Kahara Munga	
Dr. Anne W. Kimari	
Dr. Antony Opare Omerikwa	Retired on 28 th May 2025
Felister Wangari Kembi	
Tom Mbuthia Gitogo	

Company secretary

Regina Anyika (CPS 880)
Rehani House
Kenyatta Avenue/Koinange Street
P.O. Box 30088 - 00100
Nairobi, Kenya

Registered office

Plot No. LR 209/905
Rehani House
Kenyatta Avenue/Koinange Street
P.O. Box 30088 - 00100
Nairobi, Kenya

Legal adviser

Walker Kontos Advocates
Hakika House
Bishops Road
PO Box 60680–00200
Nairobi

Principal bankers

Central Bank of Kenya Haile Selassie Avenue PO Box 60000–00200 Nairobi, Kenya	HFC Limited Rehani House, Kenyatta Avenue PO Box 30088–00100, Nairobi, Kenya
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Independent auditor

PricewaterhouseCoopers LLP
PwC Tower
Waiyaki Way/Chiromo Road, Westlands
P.O. Box 43963–00100
Nairobi, Kenya

The directors submit their report together with the audited financial statements of HF Group Plc (the “Company”) and its subsidiaries (together, the “Group”) for the year ended 31 December 2025.

Incorporation

The Group is domiciled in Kenya where it is incorporated as a private group limited by shares under the Companies Act, 2015. The address of the registered office is set out on page 1.

Directorate

The directors who held office during the year and to date of this report are set out on page 1.

Board meetings attendance for the year ended 31 December 2025

Date	20.03.25	28.08.25	26.05.25	02.09.25	15.10.25	04.12.25	Total
Prof. Olive Mugenda	✓	✓	✓	x	✓	✓	5
Dr. Benson Wairegi	✓	✓	✓	✓	✓	✓	6
Ms. Felister Kembu	✓	✓	✓	✓	✓	✓	6
Mr. Tom Gitogo	✓	✓	✓	✓	x	✓	5
Mr. Charles Njuguna**	x	x	x	x	x	x	0
Dr. Anthony Omerikwa	x	✓	✓	x	x	x	2
Dr. Anne Kimari	✓	✓	✓	✓	✓	✓	6
Dr. Peter Munga	✓	x	✓	✓	✓	✓	5
Mr. Robert Kibaara	✓	✓	✓	✓	✓	✓	6

** Alternate

Principal activities

HF Group Plc was registered as a non-operating holding company (under the Banking Act Cap.488), regulated by the Central Bank of Kenya (CBK) in August 2015. The holding company oversees the operations of the Group subsidiaries, which include HFC Limited, HF Bancassurance Intermediary Agency, HF Development and Investment Limited (HFDI), First Permanent East Africa Limited (FPEAL) and the HF Foundation. The Group structure was set up to enhance corporate governance, provide oversight in management of the subsidiaries and ensure optimal growth at both Group and subsidiary levels.

The Group is listed on the Nairobi Securities Exchange (NSE), and has four operational subsidiaries;

- HFC Limited – licensed to carry out the business of mortgage finance as well as banking services under the Banking Act.
- HF Development and Investment Limited – (formerly known as Kenya Building Society Limited) undertakes real estate development.
- HF Bancassurance Intermediary (formerly HF Insurance Agency Limited) – Bancassurance solutions.
- HF Foundation Limited - The Group’s social investment arm.

The subsidiaries’ principal activities are to encourage and promote the flow of both private and public savings into financing home ownership, corporate and retail banking solutions, development and selling of residential houses, insurance agency business, and social investment.

Business review

In 2025, the Group demonstrated strong financial and operational resilience despite a volatile interest rate market. Profit before tax grew by 250% year-on-year to Shs 1.61 billion, while total assets grew by 19% to Shs 83 billion.

The banking subsidiary drove the Group's balance sheet growth with customer deposits growing by 20%, reflecting growing customer confidence and the continued adoption of digital banking solutions.

Total revenue went up by 17% to 7.6 billion, with net interest income growing by 60% while non-funded income went up by 50%. This performance was supported by an impressive improvement in interest expense management that resulted in interest expense reduction by 16% even when customer deposits went up by 20%. The revenue growth was additionally supported by a 22% increase in investment in interest earning assets.

Operational efficiency improved significantly with the cost-to-income ratio improving from 90% to 74%, driven by disciplined expense management. All the operating subsidiaries registered impressive revenue and profitability growth.

Property subsidiary (HFDI)

The subsidiary has undergone significant changes in its business structure and model. It has changed its traditional core business mandate of property development and is now focusing on landowner solutions and other property management consultancy. Consequently, its revenue grew by 37% year on year.

Bancassurance subsidiary

The subsidiary posted year on year profit before tax growth of 25% driven by growth in business undertaking and revenues. Total income grew by 35%. The gross written premiums grew by 11% to Shs 750 million.

Results and recommended dividend

The group profit for the year of Shs 1,422,292,000 (2024 Shs 524,685,000) has been deducted from accumulated losses. No interim dividend was paid during the year (2024 Nil). The directors do not recommend payment of a final dividend (2024: Nil).

Principal risks and uncertainties

The group principal risk and uncertainties together with process that are in place to monitor and mitigate those risks where applicable can be found under Note 4 to the financial statements.

Environmental, social and employee matters

Our environmental and social risk policy guides our commitments to environmental protection across all group subsidiaries. The Group views environmental sustainability from two perspectives:

1. We conduct business in a manner that protects our employees, the communities where we operate and the environment; and
2. We offer products and services that deliver efficiency contributing to an overall reduction in the usage of natural resources.

The environmental and social risk policy has been incorporated into our lending process and is aligned with recognised international performance standards. Our loan applications therefore include, among other issues, an environmental assessment and are in compliance with regulatory requirements.

Statement as to disclosure to the group's auditor

With respect to each director at the time this report was approved:

- a) there is, so far as the director is aware, no relevant audit information of which the Group's auditor is unaware; and
- b) the director has taken all the steps that the director ought to have taken as a director so as to be aware of any relevant audit information and to establish that the Group's auditor is aware of that information.

Terms of appointment of the auditor

PricewaterhouseCoopers LLP continue in office in accordance with the Company's Articles of Association and Section 721 of the Companies Act, 2015.

The directors monitor the effectiveness, objectivity, and independence of the auditor. The directors also approve the annual audit engagement contract which sets out the terms of the auditor's appointment and the related fees.

Events after the reporting year

There have been no events after the reporting date that require adjustment or disclosure to these financial statements.

By order of the Board

Regina Anyika
Company secretary

____ March 2026

Information subject to audit

The directors' remuneration report has been prepared in compliance with the Group's remuneration policy, Capital Markets Authority Code of Corporate Governance Guidelines on Directors' remuneration and the Companies Act, 2015. The remuneration is reviewed regularly to ensure that it is within the existing market rates. This is done to ensure that individual directors are effective and continue to pursue the business strategy. Performance of each director is evaluated annually and communicated appropriately. All directors are expected to observe attendance of the board meetings and make valuable contributions depending on each member's area of speciality. The remuneration is disclosed through the periodic publications made by the Group.

There has been no change to the rate of remuneration for the non-executive directors during the year.

Directors' remuneration paid during the year was as per the table below.

Non- executive directors

	Year ended 31 December 2025			Year ended 31 December 2024		
	Fees	Sitting allowance	Total	Fees	Sitting allowance	Total
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Prof. Olive Mugenda	4,875	-	4,875	4,875	-	4,875
Dr. Benson Wairegi, EBS	488	3,019	3,507	488	2,456	2,944
Dr. Peter K Munga	488	1,404	1,892	488	1,052	1,540
Anthony Opare Omerikwa	203	421	624	488	1,123	1,611
Dr Anne W. Kimari	488	1,404	1,892	488	1,332	1,820
Felister Kembi	488	1,404	1,892	488	1,404	1,892
Mr. Tom Gitogo	488	1,193	1,681	488	1,334	1,822
	7,518	8,845	16,363	7,803	8,701	16,504

Executive director

	2025 Shs'000	2024 Shs'000
Robert Kibaara		
Salary	71,139	58,910
Gratuity	12,908	12,115
	84,047	71,025
Total		

Information not subject to audit

The basic pay and gratuity of the executive director is as per the negotiated employment contract. Other non-cash benefits include club subscription, security and medical cover. Travel and other reasonable expenses (including any associated taxes) incurred in the course of performing HF Group official duties are reimbursed. This is meant to ensure that the package is competitive.

Non-executive Directors' remuneration policy and framework

Non-executive directors are engaged on the basis of a letter of appointment. It is the policy of the Board of directors that non-executive directors are paid directors' fees and sitting allowances but are not eligible to participate in any of the Group's bonus, share option or pension schemes.

Details of the policy on fees paid to our non-executive directors are set out in the table below:

Directors fees and sitting allowances	Policy framework
To attract and retain non-executive directors of the highest calibre and having the necessary skills and expertise to exercise independent judgement on issues that promote the Group's objectives.	The director's fees and sitting allowances paid to non-executive directors are determined by the Board of Directors, with recommendations from the Group Nomination and Governance Committee.
	Members of the various committees are also eligible to receive an additional sitting allowance.
	The fees payable are reviewed periodically by the Group Nomination and Governance Committee to ensure that the fees remain competitive and in line with remuneration of other non-executive directors in the industry. Time commitment and responsibility are also taken into account when reviewing fees.
	Travel and expenses for non-executive Directors for Group related assignments are all met by the Group.

Approval of the directors' remuneration report

The directors confirm that this report has been prepared in accordance with the Companies Act, 2015, Capital Markets Authority (CMA) Code and listing rules and reflects the disclosure requirements under IFRS Accounting Standards.

By order of the Board

Regina Anyika
 Company secretary

____ March 2026

The Companies Act, 2015 requires the directors to prepare financial statements for each financial year that give a true and fair view of the financial position of the Group and of the Company as at the end of the financial year and of its profit or loss for that year. The directors are responsible for ensuring that the Group and Company keep proper accounting records that are sufficient to show and explain the transactions of the Group and the Company; disclose with reasonable accuracy at any time the financial position of the Group and the Company; and that enables them to prepare financial statements of the Group and Company that comply with prescribed financial reporting standards and the requirements of the Companies Act, 2015. They are also responsible for safeguarding the assets of the Group and Company, and for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The directors accept responsibility for the preparation and presentation of these financial statements in accordance with IFRS Accounting Standards and in the manner required by the Companies Act, 2015. They also accept responsibility for:

- (i) designing, implementing and maintaining internal control as they determine necessary to enable the presentation of financial statements that are free from material misstatement, whether due to fraud or error;
- (ii) selecting suitable accounting policies and applying them consistently; and
- (iii) making accounting estimates and judgements that are reasonable in the circumstances.

Having made an assessment of the Group's and Company's ability to continue as a going concern, the directors are not aware of any material uncertainties related to any events or conditions that may cast doubt upon the Group's and Company's ability to continue as going concern.

The directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibilities.

Approved by the Board of directors on _____ March 2026 and signed on its behalf by:

Prof. Olive Mugenda
Chairperson

Robert Kibaara
Director

Benson Wairegi
Director

Regina Anyika
Company secretary



Independent auditor's report to the shareholders of HF Group Plc

Report on the audit of the financial statements

Our opinion

We have audited the accompanying financial statements of HF Group Plc (the "Company") and its subsidiaries (together, the "Group") set out on pages 13 to 128, which comprise the consolidated statement of financial position at 31 December 2025 and the consolidated statement of profit or loss and other comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, together with the company statement of financial position at 31 December 2025, and the company statements of profit or loss and other comprehensive income, changes in equity, and cash flows for the year then ended, and the notes to the financial statements, comprising material accounting policies and other explanatory information.

In our opinion the financial statements give a true and fair view of the financial position of the Group and the Company as at 31 December 2025 and of their financial performance and their cash flows for the year then ended in accordance with IFRS Accounting Standards and the requirements of the Companies Act, 2015.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report.

We are independent of the group in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards) issued by the International Ethics Standards Board for Accountants (IESBA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Kenya. We have fulfilled our other ethical responsibilities in accordance with the IESBA Code.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Independent auditor's report to the shareholders of HF Group Plc (continued)

Key audit matters (continued)

Key audit matter	How our audit addressed the key audit matter
Expected credit losses on loans and advances to customers Loans and advances to customers comprise a significant portion of the Group's total assets. The estimation of expected credit losses (ECL) on loans and advances to customers requires management's judgment in the assumptions that are applied in the models used to calculate ECL. The policies for estimating ECL are explained in Notes 2 (i) and 4 (a) of the financial statements. The key areas where significant judgement has been exercised and therefore, an increased level of audit focus applied, include: - the assumptions applied in deriving the probabilities of default (PDs), loss given default (LGD) and exposures at default (EAD) for the various segments; - the judgments made to determine the staging of facilities in line with IFRS 9. In particular, the identification of Significant Increase in Credit Risk ("SICR") and Default requires consideration of quantitative and qualitative criteria. This determines whether a 12-month or lifetime PD is used; - the relevance of the forward-looking information assumptions used in the models; and - the reasonableness of the timing and amount of the present value of expected future cash flows on loans and advances to customers, which is the key driver for LGD for stage 3 loans. Due to the significant impact of management judgments applied in calculating the ECL, we designated this as a key audit matter in our audit.	We evaluated the appropriateness of the methodology applied by management in the estimation of expected credit losses for consistency with IFRS 9. We evaluated the appropriateness of segmentation of the loan portfolio. We validated management's basis for staging of loans and advances. We tested, on a sample basis, the accuracy of the computation of PDs, and the completeness and accuracy of the underlying historical data applied in the computation. We reviewed the suitability of forward-looking data used in estimating PDs together with the accuracy of its application in the PD computation process. For forward-looking information, we assessed the appropriateness of the model, including assumptions applied; we corroborated the data using publicly available information; and assessed the reasonableness of the weightings applied to different scenarios. We tested, on a sample basis the computation of EAD for both on and off-balance sheet items. We tested, on a sample basis, the reasonableness of the present values of expected future cashflows of loans and advances used in the estimation of LGD. We recomputed, on a sample basis, expected credit losses for loans and advances to customers. We reviewed the adequacy of financial statements disclosures.

Independent auditor's report to the shareholders of HF Group Plc (continued)

Other information

The other information comprises Group and Company information, Report of the Directors, Directors' remuneration report and Statement of directors' responsibilities which we obtained prior to the date of this auditor's report, and the rest of the other information in the Annual Report which is expected to be made available to us after that date but does not include the financial statements and our auditor's report thereon. The directors are responsible for the other information. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in this report, we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information we have received prior to the date of this auditor's report we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the rest of the other information in the Annual report and we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of the directors for the financial statements

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with IFRS Accounting Standards and the requirements of the Companies Act, 2015, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Independent auditor's report to the shareholders of HF Group Plc (continued)

Auditor's responsibilities for the audit of the financial statements (continued)

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the Group's financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the Group's financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.



Independent auditor's report to the shareholders of HF Group Plc (continued)

Report on other matters prescribed by the Companies Act, 2015

Report of the directors

In our opinion the information given in the Report of the directors pages 2 to 4 is consistent with the financial statements.

Directors' remuneration report

In our opinion the auditable part of the directors' remuneration report on pages 5 to 6 has been properly prepared in accordance with the Companies Act, 2015.

CPA Patrick Kiambi, Practicing Certificate Number 2056
Engagement partner responsible for the audit

For and on behalf of PricewaterhouseCoopers LLP
Certified Public Accountants
Nairobi

_____ **March 2026**

Consolidated statement of profit or loss and other comprehensive income

	Note	2025 Shs'000	2024 Shs'000
Interest income	6	7,651,098	6,555,348
Interest expense	6	(3,151,397)	(3,744,072)
Net interest income		4,499,701	2,811,276
Allowance for expected credit losses	22	(408,283)	(364,460)
Net interest income after credit impairment losses		4,091,418	2,446,816
Fee and commission income	7	852,139	542,323
Fees and commission expense	7	(61,159)	(68,776)
Net fees and commission income		790,980	473,547
Trading income	8	258,990	227,197
Other income	9	858,192	568,500
Net operating income		5,999,580	3,716,060
Employee benefits	11	(2,318,406)	(1,894,275)
Depreciation and amortization	12	(220,150)	(238,518)
Other operating expenses	10	(1,976,970)	(1,166,517)
Share of profit in joint ventures	21	125,431	23,243
Investment property fair valuation gain	29	-	20,000
Profit before income tax		1,609,485	459,993
Income tax (expense)/credit	13	(187,193)	64,692
Profit for the year		1,422,292	524,685
Other comprehensive income, net of income tax			
<i>Items that may be reclassified to profit or loss</i>			
Fair value loss on investments in financial instruments measured at fair value through other comprehensive income (FVOCI)	31	916,959	687,796
Deferred income tax	26	(275,088)	(206,339)
		641,871	481,457
Total comprehensive profit for the year		2,064,163	1,006,142
Basic and diluted earnings per share – Shs	14	0.72	0.90

Company statement of profit or loss and other comprehensive income

	Note	2025 Shs'000	2024 Shs'000
Other income	9	149,339	109,961
Employee benefits	11	(111,850)	(94,436)
Depreciation and amortisation	12	(1,651)	(242)
Other operating expenses	10	(56,282)	(89,076)
Loss before income tax		(20,444)	(73,793)
Income tax (expense)/credit	13	(3,347)	18,438
Loss for the year		(23,791)	(55,355)
Other comprehensive income, net of tax		-	-
Total comprehensive loss for the year		(23,791)	(55,355)

Consolidated statement of financial position

		2025	2024
Assets	Note	Shs'000	Shs'000
Cash and balances with banks	16	2,282,270	2,578,697
Placements with other banks	17	7,057	1,066,290
Investment in government securities	18	28,267,302	16,970,061
Loans and advances to customers	22	41,107,862	38,861,015
Other assets	23	2,796,798	2,687,452
Inventories	25	182,867	482,338
Property and equipment	19	1,149,052	872,546
Right-of-use asset	35	133,697	147,929
Intangible assets	20	494,017	316,318
Investment property	29	1,905,000	1,905,000
Investment in property fund	24	634,140	548,771
Investment in joint ventures	21	1,828,458	1,668,363
Derivative asset	37	962,539	952,937
Current income tax	13	365,293	372,751
Deferred income tax	26	1,229,814	1,654,454
Total assets		83,346,166	71,084,922
Liabilities			
Deposits from customers	27	55,874,371	47,470,795
Deposits from banks	27	1,022,568	388,106
Other liabilities	28	4,046,695	3,730,923
Derivative liabilities	37	946,776	937,140
Dividends payable	15	246	246
Deferred income tax	26	-	903
Borrowings	30	3,548,987	2,690,960
Government of Kenya income notes	32	52,860	52,860
Lease liabilities	35	179,330	192,819
Total liabilities		65,671,833	55,464,752
Shareholders' equity			
Share capital	31	9,427,440	9,427,440
Share premium	31	2,649,338	2,649,338
Regulatory reserve	31	4,640,537	4,808,520
Revaluation reserves	31	1,312,129	1,312,129
Fair value reserves	31	817,950	176,079
Accumulated losses		(1,173,061)	(2,753,336)
Total equity		17,674,333	15,620,170
Total liabilities and shareholders' equity		83,346,166	71,084,922

The financial statements on pages 13 to 128 were approved for issue by the Board of directors
_____ March 2026 and signed on its behalf by:

Prof.Olive Mugenda – Chairperson

Robert Kibaara – Director

Benson Wairegi – Director

Regina Anyika – Company secretary

Company statement of financial position

	Note	2025 Shs'000	2024 Shs'000
Assets			
Cash and balances with banks	16	25,042	250,736
Other assets	23	7,820	552
Property and equipment	19	6,267	685
Investment in subsidiaries	21	15,587,594	15,587,594
Current income tax	13	59,463	59,657
Deferred income tax	26	64,468	67,815
Total assets		15,750,654	15,967,039
Liabilities			
Other liabilities	28	397,720	590,314
Dividends payable	15	246	246
Total liabilities		397,966	590,560
Shareholders' equity			
Share capital	31	9,427,440	9,427,440
Share premium	31	2,649,338	2,649,338
Retained earnings		3,275,910	3,299,701
		15,352,688	15,376,479
Total liabilities and shareholders' equity		15,750,654	15,967,039

The financial statements on pages 13 to 128 were approved for issue by the Board of directors on _____ March 2026 and signed on its behalf by:

Prof. Olive Mugenda – Chairperson

Robert Kibaara – Director

Benson Wairegi – Director

Regina Anyika – Company secretary

Consolidated statement of changes in equity

	Notes	Share capital	Share premium	Revaluation reserves	Regulatory reserve	Accumulated losses	Fair value reserves	Total
		Shs' 000	Shs' 000	Shs' 000	Shs' 000	Shs' 000	Shs' 000	Shs' 000
Year ended 31 December 2025								
At start of year		9,427,440	2,649,338	1,312,129	4,808,520	(2,753,336)	176,079	15,620,170
Profit for the year		-	-	-	-	1,422,292	-	1,422,292
<i>Other comprehensive income for the year</i>								
Transfer from statutory credit risk reserve		-	-	-	(167,983)	167,983	-	-
Dividend receipt		-	-	-	-	(10,000)	-	(10,000)
At fair value through other comprehensive income	31	-	-	-	-	-	916,959	916,959
Deferred income tax on change in fair value		-	-	-	-	-	(275,088)	(275,088)
At end of year		9,427,440	2,649,338	1,312,129	4,640,537	(1,173,061)	817,950	17,674,333
Year ended 31 December 2024								
At start of year		1,923,071	4,343,512	1,312,129	4,854,473	(3,323,974)	(305,378)	8,803,833
Profit for the year		-	-	-	-	524,685	-	524,685
<i>Other comprehensive income for the year</i>								
Transfer from statutory credit risk reserve		-	-	-	(45,953)	45,953	-	-
At fair value through other comprehensive income	31	-	-	-	-	-	687,796	687,796
Deferred income tax on change in fair value		-	-	-	-	-	(206,339)	(206,339)
<i>Transaction with owners</i>								
Additional shares through rights issue		7,504,369	-	-	-	-	-	7,504,369
Discount shares fully paid through share premium		-	(1,499,995)	-	-	-	-	(1,499,995)
Total transaction cost, recorded directly in equity		-	(194,179)	-	-	-	-	(194,179)
At end of year		9,427,440	2,649,338	1,312,129	4,808,520	(2,753,336)	176,079	15,620,170

Company statement of changes in equity

	Share capital Shs' 000	Share premium Shs' 000	Retained earnings Shs' 000	Total Shs' 000
Year ended 31 December 2025				
At start of year	9,427,440	2,649,338	3,299,701	15,376,479
Profit and total comprehensive income for the year	-	-	(23,791)	(23,791)
At end of year	9,427,440	2,649,338	3,275,910	15,352,688
Year ended 31 December 2024				
At start of year	1,923,071	4,343,512	3,355,056	9,621,639
Profit and total comprehensive income for the year	-	-	(55,355)	(55,355)
Transaction with owners				
Additional share capital	7,504,369	-	-	7,504,369
Total transaction cost, recorded directly in equity	-	(1,694,174)	-	(1,694,174)
At end of year	9,427,440	2,649,338	3,299,701	15,376,479

Consolidated statement of cash flows

	Note	2025 Shs'000	2024 Restated Shs'000
Cash used in operations	33	(1,308,979)	(1,979,099)
Income tax paid	13	(31,086)	(37,451)
Net cash flows from operating activities		(1,340,065)	(2,016,550)
INVESTING ACTIVITIES			
Purchase of property and equipment	19	(363,284)	(166,896)
Purchase of intangible assets	20	(246,018)	(115,864)
Proceeds from disposal of repurchased properties		116,050	-
Net cash outflows from investing activities		(493,252)	(282,760)
FINANCING ACTIVITIES			
Additional capital through rights issue	31	-	5,810,195
Receipt of borrowed funds	30	2,052,359	-
Repayments of borrowings	30	(1,489,141)	(1,036,474)
Interest lease payments	35	(19,279)	(23,611)
Principal lease payments	35	(66,282)	(82,934)
Net cash inflows from financing activities		477,657	4,667,176
Net (decrease)/increase in cash and cash equivalents		(1,355,660)	2,367,866
Cash and cash equivalents at start of year		3,644,987	1,277,121
Cash and cash equivalents at end of year	16	2,289,327	3,644,987

Company statement of cash flows

	Note	2025 Shs' 000	2024 Shs' 000
Cash flows (used in) / generated from operations	33	(218,655)	171,805
Income tax credits/(paid)	13	194	(2,171)
Net cash flows (used in)/generated from operating activities		(218,461)	169,634
INVESTING ACTIVITIES			
Purchase of property and equipment	19	(7,233)	(200)
Net cash flows used in from investing activities		(7,233)	(200)
FINANCING ACTIVITIES			
Additional capital through rights issue	31	-	5,810,195
Additional investments in subsidiaries-HFC		-	(5,730,000)
Net cash flows generated from financing activities		-	80,195
Net (decrease)/increase in cash and cash equivalents		(225,694)	249,629
Cash and cash equivalents at start of year		250,736	1,107
Cash and cash equivalents at end of year	16	25,042	250,736

Notes

1 General information

HF Group Plc is incorporated as a limited company in Kenya under the Kenyan Companies Act, 2015, and is domiciled in Kenya. The address of the Company's registered office is shown on Page 1. The consolidated financial statements comprise of the Company and its subsidiaries (together, the "Group" or "Consolidated" and individually referred to as "Group entities").

The Group is primarily involved in mortgage lending, provision of banking solutions, property development, bancassurance services, and social investment.

2 Material accounting policies

The accounting policies set out below have been applied consistently to all periods presented on these financial statements, unless otherwise stated.

(a) Basis of preparation

The financial statements have been prepared in accordance with IFRS Accounting Standards. The measurement basis applied is the historical cost basis, except where otherwise stated in the accounting policies below.

The preparation of financial statements in conformity with IFRS Accounting Standards requires the use of certain critical accounting estimates. It also requires the directors to exercise judgement in the process of applying the Company's accounting policies. There are no areas involving a higher degree of judgement or complexity, or where assumptions and estimates are significant to the financial statements.

Based on the materiality of HF Group Plc (Company), the group has not presented the IFRS 7 disclosures of the HF Group Plc (Company) since they have been included as part of the consolidated financial statements of HF Group Plc (Consolidated).

Changes in accounting policy and disclosures

(i) New and amended standards adopted by the Group

A few amendments to standards became effective for the first time in the financial year beginning 1 January 2025 and have been adopted by the Group. The amendments have not had an effect on the Group's financial statements. The amendments are as follows:

Title	Effective date	Key requirements
Amendments to IAS 21, 'The Effects of Changes in Foreign Exchange Rates' - Lack of Exchangeability (Amendments to IAS 21)	Annual periods beginning on or after 1 January 2025 (Published August 2023)	An entity is impacted by the amendments when it has a transaction or an operation in a foreign currency that is not exchangeable into another currency at a measurement date for a specified purpose. A currency is exchangeable when there is an ability to obtain the other currency (with a normal administrative delay), and the transaction would take place through a market or exchange mechanism that creates enforceable rights and obligations.

Notes (continued)

2 Material accounting policies (continued)

(a) Basis of preparation(continued)

Changes in accounting policy and disclosures

(i) New and amended standards adopted by the Group (continued)

The amendments listed above did not have any impact on the amounts recognised in prior periods and do not have a material impact in the current year.

(ii) Standards, amendments and interpretations issued but not yet effective

Title	Effective date	Key requirements
Amendment to IFRS 9, "Financial Instruments" and IFRS 7, "Financial Instruments: Disclosures" - Classification and Measurement of Financial Instruments	Annual periods beginning on or after 1 January 2026 (Published December 2024)	These amendments: - clarify the requirements for the timing of recognition and derecognition of some financial assets and liabilities, with a new exception for some financial liabilities settled through an electronic cash transfer system; - clarify and add further guidance for assessing whether a financial asset meets the solely payments of principal and interest (SPPI) criterion; - add new disclosures for certain instruments with contractual terms that can change cash flows (such as some instruments with features linked to the achievement of environment, social and governance (ESG) targets); and make updates to the disclosures for equity instruments designated at Fair Value through Other Comprehensive Income (FVOCI).
Amendment to IFRS 9 and IFRS 7 - Contracts Referencing Nature-dependent Electricity	Annual periods beginning on or after 1 January 2026 (Published May 2024)	These amendments change the 'own use' and hedge accounting requirements of IFRS 9 and include targeted disclosure requirements to IFRS 7. These amendments apply only to contracts that expose an entity to variability in the underlying amount of electricity because the source of its generation depends on uncontrollable natural conditions (such as the weather). These are described as 'contracts referencing nature-dependent electricity'.

Notes (continued)

2 Material accounting policies (continued)

(a) Basis of preparation(continued)

Changes in accounting policy and disclosures (continued)

(ii) Standards, amendments and interpretations issued but not yet effective (continued)

Title	Effective date	Key requirements
Amendment to IAS 21 - Translation to a Hyperinflationary Presentation Currency	Annual periods beginning on or after 1 January 2027, but can be early adopted subject to local endorsement where required. (Published November 2025)	These narrow-scope amendments specify the translation procedures for an entity whose presentation currency is that of a hyperinflationary economy. The entity applies the amendments if: - its functional currency is that of a non-hyperinflationary economy and it is translating its results and financial position into the currency of a hyperinflationary economy; or - it is translating into the currency of a hyperinflationary economy the results and financial position of a foreign operation whose functional currency is that of a non-hyperinflationary economy. The amendments aim to improve the usefulness of the resulting information in a cost-effective manner. Developed in response to stakeholder feedback, these amendments are expected to reduce diversity in practice and provide a clearer basis for reporting in a hyperinflationary currency.
IFRS 19, 'Subsidiaries without Public Accountability'	Annual periods beginning on or after 1 January 2027 (Published May 2024)	The objective of IFRS 19 is to provide reduced disclosure requirements for subsidiaries, with a parent that applies the Accounting Standards in its consolidated financial statements. IFRS 19 is a voluntary Accounting Standard that eligible subsidiaries can apply when preparing their own consolidated, separate or individual financial statements.

Notes (continued)

2 Material accounting policies (continued)

(a) Basis of preparation

Changes in accounting policy and disclosures (continued)

(ii) Standards, amendments and interpretations issued but not yet effective (continued)

Title	Effective date	Key requirements
IFRS 18, 'Presentation and Disclosure in Financial Statements'	Annual periods beginning on or after 1 January 2027 (Published April 2024)	The objective of IFRS 18 is to set out requirements for the presentation and disclosure of information in general purpose financial statements (financial statements) to help ensure they provide relevant information that faithfully represents an entity's assets, liabilities, equity, income and expenses. IFRS 18 replaces IAS 1 'Presentation of Financial Statements' and focuses on updates to the statement of profit or loss with a focus on the structure of the statement of profit or loss; required disclosures in the financial statements for certain profit or loss performance measures that are reported outside an entity's financial statements (that is, management-defined performance measures); and enhanced principles on aggregation and disaggregation which apply to the primary financial statements and notes in general. Many of the other existing principles in IAS 1 are retained, with limited changes. IFRS 18 will not impact the recognition or measurement of items in the financial statements, but it might change what an entity reports as its 'operating profit or loss'.

These standards, amendments or interpretations are not expected to have a material impact on the entity in the current or future reporting periods and on foreseeable future transactions.

(b) Revenue recognition

Net interest income

Interest income and expense are recognised in profit or loss on an accrual basis using the effective interest method for all interest-bearing financial instruments, except for those classified at fair value through profit or loss which are included under trading income and:

- purchased or originated credit impaired (POCI) for which the original credit adjusted effective interest rate is applied to the amortised cost of the financial asset; and
- financial assets that are not POCI that have subsequently become impaired for which interest revenue is calculated by applying the effective interest rate to their amortised cost (i.e. net of expected credit losses) in subsequent reporting periods.

Notes (continued)

2 Material accounting policies (continued)

(b) Revenue recognition (continued)

Net interest income (continued)

Effective interest rate is the rate that exactly discounts the estimated future cash payments or receipts through the expected life of the financial assets or, where appropriate, a shorter period to the net carrying amount of the financial asset or liability.

Direct incremental transaction costs incurred and origination fees received, including loan commitment fees, as a result of bringing margin-yielding assets or liabilities into the statement of financial position are capitalised to the carrying number of financial instruments that are not at fair value through profit or loss, and amortised as interest income or expense over the life of the asset or liability as part of the effective interest rate.

Non – interest revenue

i. Net fee and commission revenue

Fee and commission revenue, including transaction fees, account servicing fees, custodial fees, sales commissions and placement fees are recognised as the related services are performed. Loan commitment fees for loans that are not expected to be drawn down are recognised on a straight-line basis over the commitment period. Fee and commission expense included in net fee and commission revenue are mainly transaction and service fees relating to financial instruments, which are expensed as the services are received. Expenditure is recognised as fee and commission expenses where the expenditure is linked to the production of fee and commission revenue.

ii. Trading revenue

Trading revenue comprises all gains and losses from changes in the fair value of trading assets and liabilities, including foreign exchange gains and losses from monetary assets and liabilities.

iii. Other revenue

Other revenue includes rental income, gains and losses from disposal of investment properties and property and equipment and other revenue realised as commissions.

(c) Property and equipment

(i) Recognition and measurement

Items of property and equipment other than land and buildings are initially recognised at cost. Cost includes expenditures that are directly attributable to the acquisition of the asset. The cost includes any other costs directly attributable to bringing the asset to a working condition for its intended use and the present value of the estimated costs of dismantling and removing the items and restoring the site on which they are located. After initial recognition, property and equipment is measured at cost less accumulated depreciation.

Notes (continued)

2 Material accounting policies (continued)

(c) Property and equipment (continued)

(i) Recognition and measurement (continued)

Land and Buildings held at fair value are subsequently carried at a revalued amount based on valuations, Buildings are then carries at revalued amounts less any accumulated depreciation and impairment losses. Increases in the carrying amount arising on revaluation are credited to other comprehensive income. Decreases that offset previous increases of the same asset are charged against the revaluation surplus; all other decreases are charged to profit or loss.

The cost of replacing a component of an item of property and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Bank and its cost can be measured reliably. The carrying amount of the replaced item is derecognised. The cost of day-to-day servicing of property and equipment is recognised in profit and loss.

(ii) Depreciation

Freehold land is not depreciated.

Depreciation is calculated on a straight-line basis to allocate the cost or revalued amount to their residual values over their estimated useful lives as follows:

Computers	20%
Motor vehicles	20%
Office equipment, fixtures and fittings	5% - 20%

Buildings on leasehold land are depreciated over the shorter of 50 years and the remaining period of the lease. Buildings on freehold land are depreciated over fifty years. The assets' residual values, useful lives and methods of depreciation are reassessed at each financial year-end and adjusted prospectively, as a change in an estimate, if appropriate.

(iii) Disposal of property and equipment

Gains and losses on disposal of property and equipment are determined by reference to the carrying amount and are recognised in profit or loss in the period in which they arise.

(d) Intangible assets

The Group's intangible assets include the value of computer software. Costs associated with maintaining software programmes are recognised as an expense as incurred. Development costs that are directly attributable to the design and testing of identifiable and unique software products controlled by the Group are recognised as intangible assets when the following criteria are met:

- It is technically feasible to complete the software so that it will be available for use;
- Management intends to complete the software and use or sell it;
- There is an ability to use or sell the software;
- It can be demonstrated how the software will generate probable future economic benefits;
- Adequate technical, financial and other resources to complete the development and to use or sell the software are available; and
- The expenditure attributable to the software during its development can be reliably measured.

Notes (continued)

2 Material accounting policies (continued)

(d) Intangible assets (continued)

Directly attributable costs that are capitalised as part of the software include employee costs and an appropriate portion of relevant overheads. Capitalised development costs are recorded as intangible assets and amortised from the point at which the asset is ready for use.

Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses.

The intangible assets with finite lives are amortised over the estimated useful life, currently estimated at five (5) to (8) years, on a straight-line basis from the date the software is available for use. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each financial year-end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortisation period or method, as appropriate, and treated as changes in accounting estimates.

(e) Leases

At inception of a contract, the Group assesses whether a contract is, or contains, a lease.

At commencement or on modification of a contract that contains a lease component, the Group allocates consideration in the contract to each lease component on the basis of its relative stand-alone price. However, for leases of branches and office premises the Group has elected not to separate non-lease components and accounts for the lease and non-lease components as a single lease component.

The Group recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove any improvements made to branches or office premises.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Group's incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

The Group determines its incremental borrowing rate by analysing its borrowings from various external sources and makes certain adjustments to reflect the terms of the lease and type of asset leased.

Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments;
- variable lease payments that depend on an index or a rate, the Group has used the CBR rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable under a residual value guarantee; and
- the exercise price under a purchase option that the Group is reasonably certain to exercise, lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

Notes (continued)

2 Material accounting policies (continued)

(e) Leases (continued)

(i) Group acting as a lessee

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, if the Group changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

The Group presents right-of-use assets separately while lease liabilities are presented in 'other liabilities' in the statement of financial position.

Short-term leases and leases of low-value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases, including leases of IT equipment. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

(ii) Group acting as a lessor

At inception or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of their relative stand-alone selling prices.

When the Group acts as a lessor, it determines at lease inception whether the lease is a finance lease or an operating lease.

To classify each lease, the Group makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then it is an operating lease. As part of this assessment, the Group considers certain indicators such as whether the lease is for the major part of the economic life of the asset.

The Group applies the derecognition and impairment requirements in IFRS 9 to the net investment in the lease. The Group further regularly reviews estimated unguaranteed residual values used in calculating the gross investment in the lease.

(f) Employee benefits

(i) Employee retirement benefits plan

The Group operates a defined contribution scheme based on a percentage of pensionable earnings whose funds are held in a separate trustee administered and guaranteed scheme managed by an approved insurance company. The pension plan is funded by contributions from the employees and the Group. The Group's contributions are charged to profit or loss in the year to which they relate.

Notes (continued)

2 Material accounting policies (continued)

(f) Employee benefits (continued)

(i) Employee retirement benefits plan (continued)

The employees and the Group also contribute to the National Social Security Fund. Contributions are determined by the local statute and the Group's contributions are charged to profit or loss in the period to which they relate.

(ii) Accrued leave

Accrual for annual leave is made as employees earn it and reduced when taken.

(iii) Termination benefits

Termination benefits are recognised as an expense when the Group is demonstrably committed, without realistic possibility of withdrawal, to a formal detailed plan to either terminate employment before the normal retirement date, or to provide termination benefits as a result of an offer made to encourage voluntary redundancy. Termination benefits for voluntary redundancies are recognised if the Group has made an offer of voluntary redundancy, it is probable that the offer will be accepted, and the number of acceptances can be estimated reliably. If benefits are payable more than 12 months after the reporting date, then they are discounted to their present value.

(iv) Short-term benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short-term cash bonus or profit-sharing plans if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

(g) Income tax

The income tax expense for the period comprises current and deferred income tax. Income tax is recognised in profit or loss, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity respectively.

(i) Current income tax

The current income tax charge is calculated on the basis of the tax laws enacted or substantively enacted at the reporting date. The directors periodically evaluate positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

(ii) Deferred income tax

Deferred income tax is recognised, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements. However, deferred income tax is not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss. Deferred income tax is determined using tax rates (and laws) that have been enacted or substantively enacted at the reporting date and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled.

Notes (continued)

2 Material accounting policies (continued)

(g) Income tax (continued)

(ii) *Deferred income tax (continued)*

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised. Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when the deferred income taxes assets and liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

(h) Cash and cash equivalents

Cash and cash equivalents include cash in hand, bank deposits held at call, unrestricted balances held with the central bank and highly liquid financial assets with original maturities of three months or less from the date of acquisition that are subject to an insignificant risk of changes in their fair value and are used by the Group in the management of its short-term commitments. Cash and cash equivalents are carried at amortised cost in the statement of financial position.

(i) Financial instruments

Initial recognition and measurement

Financial assets and financial liabilities are recognised when the entity becomes a party to the contractual provisions of the instrument. Regular way purchases and sales of financial assets are recognised on trade-date, the date which the Group and Company commits to purchase or sell the asset.

At initial recognition, the Group and Company measures a financial asset or financial liability at its fair value plus or minus, in the case of a financial asset or financial liability not at fair value through the profit or loss, transaction costs that are incremental and directly attributable to the acquisition or issue of the financial asset or financial liability, such fees and commissions. Transaction costs of financial assets and financial liabilities are carried at fair value through profit or loss are expensed in profit or loss. Immediately after the initial recognition, an expected credit loss allowance (ECL) is recognised for the financial assets measured at amortised cost and investments in debt instruments measured at FVOCI, which results in an accounting loss being recognised in profit or loss when an asset is newly originated.

When the fair value of financial assets and liabilities differs from the transaction price on initial recognition, the entity recognises the difference as follows:

(a) When the fair value is evidenced by a quoted price in an active market for an identical asset or liability (i.e. Level 1 input) or based on a valuation technique that uses only data from observable markets, the difference is recognised as a gain or loss.

(b) In all other cases, the difference is deferred, and the timing of recognition of deferred day one profit or loss is determined individually. It is either amortised over the life of the instrument, deferred until the instrument's fair value can be determined using market observable inputs, or realised through settlement.

Financial assets

(i) Classification and subsequent measurement

The Group and Company classifies its financial assets in the following measurement categories:

Notes (continued)

2 Material accounting policies (continued)

(i) Financial instruments (continued)

Financial assets (continued)

(i) Classification and subsequent measurement (continued)

- Fair value through profit or loss (FVPL)
- Fair value through other comprehensive income (FVOCI)
- Amortised cost

Debt instruments

Debt instruments are those instruments that meet the definition of a financial liability from the issuer's perspective, such as loans, government and corporate bonds and trade receivables purchased from clients in factoring arrangements without recourse. Classification and subsequent measurement of debt instruments depend on:

- (i) the Group and Company's business model for managing the asset; and
- (ii) the cash flow characteristics of the asset

Based on these factors, the Group and Company classifies its debt instruments into one of the following three measurement categories:

- Amortised cost: assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest (SPPI), and that are not designated at FVPL, are measured at amortised cost. The carrying amount of these assets are adjusted by any expected credit loss allowance. Interest income from financial assets is included in "interest and similar income" using the effective interest rate method.

- Fair value through other comprehensive income (FVOCI): Financial assets that are held for collection of contractual cash flows and for selling the assets, where the assets' cash flows represent solely payments of principal and interest, and that are not designated at FVPL, are measured through other comprehensive income (FVOCI). Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest revenue and foreign exchange gains and losses on instrument's amortised cost which are recognised in profit or loss. When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss and recognised in "Net investment income" using the effective interest rate method.

- Fair value through the profit or loss: Assets that do not meet the criteria for amortised cost or FVOCI are measured at fair value through profit or loss. A gain or loss on a debt instruments that is subsequently measured at fair value through profit or loss and is not part of a hedging relationship is recognised in profit or loss and presented within "Net trading income" in the period in which it arises, unless it arises from debt instruments that were designated at fair value or which are not held for trading, in which case they are presented separately in "Net investment income". Interest income from these financial assets is included in "interest income" using the effective interest rate method

Business model: The business model reflects how the Group and Company manages the assets in order to generate cash flows. That is, whether the Group and Company's objective is solely to collect the contractual cash flows from the assets or is to collect both the contractual cash flows and cash flows arising from sale of assets. If neither of these is applicable (e.g. financial assets are held for trading purposes), then the financial assets are classified as part of "other" business model and measured at FVPL. Factors considered by the Group and Company in determining the business model for a group of assets include past experience on how cash flows for these assets were collected, how the asset's performance is evaluated and reported by key management personnel, how risks are assessed and managed and how managers are compensated.

Notes (continued)

2 Material accounting policies (continued)

(i) Financial instruments (continued)

Financial assets (continued)

(i) Classification and subsequent measurement (continued)

For example, the liquidity portfolio of assets is held by the Group and Company as part of liquidity management and is generally classified with the hold to collect and sell business model. Securities held for trading are held principally for the purpose of selling in the near term or are part of a portfolio of financial instruments that are managed together and for which there is evidence of a recent actual pattern of short-term profit-taking. These securities are classified in the “other” business model and measured at FVPL.

SPPI: Where the business model is to hold assets to collect contractual cash flows or to collect contractual cash flows and sell, the Group and Company assesses whether the financial instruments’ cash flows represents solely payments of principal and interest (the “SPPI test”). In making this assessment, the Group and Company considers whether the contractual cash flows are consistent with a basic lending arrangement i.e. interest includes only consideration for the time value of money, credit risk and a profit margin that is consistent with a basic lending arrangement. Where the contractual terms introduce exposure to risk or volatility that are inconsistent with a basic lending arrangement, the related financial asset is classified and measured at fair value through profit or loss.

Financial assets with embedded derivatives are considered in their entirety when determining whether their cash flows are solely payment of principal and interest.

The Group and Company reclassifies debt investments when and only when its business model for managing those assets changes. The reclassification takes place from the start of the first reporting period following the change. The changes are expected to be very infrequent and none occurred during the year.

Equity instruments

Equity instruments are instruments that meet the definition of equity from the issuer’s perspective; that is, instruments that do not contain a contractual obligation to pay and that evidence a residual interest in the issuer’s net assets. Examples of equity instruments include basic ordinary shares.

The Group and Company subsequently measures all equity investments at fair value through profit or loss, except where the entity’s management has elected, at initial recognition, to irrevocably designate an equity investment at fair value through other comprehensive income. The Group and Company’s policy is to designate equity investments as FVOCI when those investments are held for purposes other than to generate investment returns. When this election is used, fair value gains and losses are recognised in OCI and are not subsequently reclassified to profit or loss, including on disposal. Impairment losses (and reversals of impairment losses) are not reported separately from other changes in fair values. Dividends, when representing a return on such investments, continue to be recognised in profit or loss as other income when the Group and Company’s right to receive payment is established.

Gains and losses on equity investments at FVPL are included in the “Net trading income” line in the statement of profit or loss

Notes (continued)

2 Material accounting policies (continued)

(i) Financial instruments (continued)

Financial assets (continued)

(ii) *Impairment of financial assets*

Expected credit losses (ECL) are recognised on debt financial assets classified as at either amortised cost or fair value through OCI, financial guarantee contracts that are not designated at fair value through profit or loss as well as loan commitments that are neither measured at fair value through profit or loss nor are used to provide a loan at a below market interest rate. The measurement basis of the ECL of a financial asset includes assessing whether there has been a significant increase in credit risk (SICR) at the reporting date, which includes forward-looking information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions. The measurement basis of the ECL is set out below. ECL is measured as the unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes, the time value of money and forward-looking information.

Stages

Stage 1

A 12-month ECL is calculated for financial assets which are neither credit impaired on origination nor for which there has been a SICR.

Stage 2

A lifetime ECL allowance is calculated for financial assets that are assessed to have displayed an SICR since origination and are not considered low credit risk.

Stage 3 (Credit impaired assets)

A lifetime ECL is calculated for financial assets that are assessed to be credit impaired. The following criteria are used in determining whether the financial asset is impaired:

- Default (as defined below)
- Significant financial difficulty of borrower and/or modification
- Probability of bankruptcy or financial reorganisation
- Disappearance of an active market due to financial difficulties

The key components of the impairment methodology are described as follows:

Significant increase in credit risk

At each reporting date, the Group and Company assesses whether the credit risk of its exposures has increased significantly since initial recognition by considering the change in the risk of default occurring over the expected life of the financial asset.

Low credit risk

Exposures are generally considered to have a low credit risk where there is a low risk of default, the exposure has a strong capacity to meet its contractual cash flow obligations and adverse changes in economic and business conditions may not necessarily reduce the exposure's ability to fulfil its contractual obligations.

Notes (continued)

2 Material accounting policies (continued)

(i) Financial instruments (continued)

Financial assets (continued)

(ii) Impairment of financial assets (continued)

Default

The Group and Company's definition of default has been aligned to its internal credit risk management definitions and approaches. A financial asset is considered to be in default when there is objective evidence of impairment. The following criteria are used in determining whether there is objective evidence of impairment for financial assets or groups of financial assets:

- Significant financial difficulty of borrower and/or modification (i.e. known cash flow difficulties experienced by the borrower)
- A breach of contract, such as default or delinquency in interest and/or principal payments
- Disappearance of active market due to financial difficulties
- It becomes probable that the borrower will enter bankruptcy or other financial reorganisation
- Where the Group and Company, for economic or legal reasons relating to the borrower's financial difficulty, grants the borrower a concession that the Group and Company would not otherwise consider
- Exposures which are overdue for more than 90 days are also considered to be in default

Forward-looking information

Forward-looking information is incorporated into the Group and Company's impairment methodology calculations and in the Group and Company's assessment of SICR. The Group and Company includes all forward-looking information which is reasonable and available without undue cost or effort. The information will typically include expected macroeconomic conditions and factors that are expected to impact portfolios or individual counterparty exposures.

Write-off

Financial assets are written off when there is no reasonable expectation of recovery. Financial assets which are written off may still be subject to enforcement activities.

ECLs are recognised within the statement of financial position as follows:

Financial assets measured at amortised cost (including loan commitments)

Recognised as a deduction from the gross carrying amount of the asset (group of assets). Where the impairment allowance exceeds the gross carrying amount of the asset (group of assets), the excess is recognised as a provision within other liabilities.

Off-balance sheet exposures (excluding loan commitments)

Recognised as a provision within other liabilities.

Financial assets measured at fair value through OCI

Recognised in the fair value reserve within equity. The carrying amount of the financial asset is recognised in the statement of financial position at fair value.

Notes (continued)

2 Material accounting policies (continued)

(i) Financial instruments (continued)

Financial assets (continued)

(iii) Modification of loans

The Group and Company sometimes renegotiates or otherwise modifies the contractual cash flows of loans to customers. When this happens, the Group and Company assesses whether the new terms are substantially different to the original terms. The Group and Company does this by considering, among others, the following factors:

- If the borrower is in financial difficulty, whether the modification merely reduces the contractual cash flows to amounts the borrower is expected to be able to pay.
- Whether any substantial new terms are introduced, such as a profit share/equity based return that substantially affects the risk profile of the loan.
- Significant extension of the loan term when the borrower is not in financial difficulty.
- Significant change in interest rate
- Change in the currency of the loan
- Insertion of collateral, other security or credit enhancement that significantly affect the credit risk associated with the loan.

If the terms are substantially different, the Group and Company derecognises the original financial asset and recognises a “new” asset at fair value and recalculates a new effective interest rate for the asset. The date of renegotiation is consequently considered to be the date of initial recognition for impairment calculation purposes, including for determining whether a significant increase in credit risk has occurred.

However, the Group and Company also assesses whether the new financial asset recognised is deemed to be credit-impaired at initial recognition, especially in circumstances where the renegotiation was driven by the debtor being unable to make the originally agreed payments. Differences in the carrying amount are also recognised in profit or loss as a gain or loss on derecognition.

If the terms are not substantially different, the renegotiation or modification does not result in derecognition, and the Group and Company recalculates the gross carrying amount based on the revised cash flows of the financial asset and recognises a modification gain or loss in profit or loss. The new gross carrying amount is recalculated by discounting the modified cash flows at the original effective interest rate of credit-adjusted effective interest rate for POCI financial assets.

(iv) Derecognition other than on a modification

Financial assets, or a portion thereof, are derecognised when the contractual rights to receive the cash flows from the assets have expired, or when they have been transferred and either (i) the Group and Company transfers substantially all the risks and rewards of ownership, or (ii) the Group and Company neither transfers nor retains substantially all the risks and rewards of ownership and the Group and Company has not retained control.

The Group and Company enters into transactions where it retains the contractual rights to receive cash flows from assets but assumes a contractual obligation to pay those cash flows to other entities and transfers substantially all of the risks and rewards. These transactions are accounted for as “pass through” transfers that result in derecognition if the Bank:

- (i) Has no obligation to make payments unless it collects equivalent amounts from the assets

Notes (continued)

2 Material accounting policies (continued)

(i) Financial instruments (continued)

Financial assets

(iv) Derecognition other than on a modification (continued)

(ii) Is prohibited from selling or pledging the assets; and

(iii) Has an obligation to remit any cash it collects from assets without material delays

Collateral (shares and bonds) furnished by the Group and Company under standard repurchase agreements and securities lending and borrowings transactions are not derecognised because the Group and Company retains substantially all the risks and rewards on the basis of predetermined repurchase price, and the criteria for derecognition are therefore not met. This also applies to certain securitisation transactions in which the Group and Company retains a subordinated residual interest.

Financial liabilities

(i) Classification and subsequent measurement

In both the current period and prior period, financial liabilities are classified as subsequently measured at amortised cost, except for:

- Financial liabilities at fair value through profit or loss such as derivatives, financial liabilities held for trading (e.g., short positions in the trading booking) and other financial liabilities designated as such at initial recognition. Gains or losses on financial liabilities designated at fair value through profit or loss are presented partially in other comprehensive income (the amount of change in the fair values of the financial liability that is attributable to changes in the credit risk of that liability) and partially profit or loss (the remaining amount of change in the fair value of the liability);
- Financial liabilities arising from the transfer of financial assets which did not qualify for derecognition, whereby a financial liability is recognised for the consideration received for the transfer. In subsequent periods, the Group and Company recognises any expense incurred on the financial liability; and
- Financial guarantee contracts and loan commitments

(ii) Derecognition

Financial liabilities are derecognised when they are extinguished (i.e. when the obligation specified in the contract is discharged, cancelled or expires).

The exchange between the Group and Company and its original lenders of debt instruments with substantially different terms, as well as substantial modification of the terms of the existing financial liabilities, are accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. The terms are substantially different if the discounted present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective interest rate, is at least 10% different from the discounted present value of the remaining cash flows of the original financial liability. In addition, other qualitative factors, such as the currency that the instrument is denominated in, changes in the type of interest rate, new conversion features attached to the instrument and change in covenants are also taken into consideration. If the exchange of debt instruments or modification of terms is accounted for as an extinguishment, any costs or fees incurred are recognised as part of the gain or loss on the extinguishment. If the exchange of modification is not accounted for as an extinguishment, any costs or fees incurred adjust the carrying amount of the liability and are amortised over the remaining term of the modified liability.

Notes (continued)

2 Material accounting policies (continued)

(i) Financial instruments (continued)

Offsetting financial assets and financial liabilities

Financial assets and liabilities are offset, and the net amount reported in the statement of financial position, when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously.

Financial guarantee contracts

A financial guarantee contract is a contract that requires the Group and Company (issuer) to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the original or modified terms of a debt instrument.

Financial guarantee contracts are initially recognised at fair value, which is generally equal to the premium received, and then amortised over the life of the financial guarantee. Financial guarantee contracts (that are not designated at fair value through profit or loss) are subsequently measured at the higher of the:

- ECL calculated for the financial guarantee; or
- unamortised premium.

(j) Impairment of non-financial assets

Non-financial assets are tested annually for impairment and additionally whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

An impairment loss is recognised in profit or loss for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs of disposal and value in use. Fair value less costs ascertaining the current market value of an asset and deducting any costs related to the realisation of the asset. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

For the purposes of assessing impairment, assets that cannot be tested individually are grouped at the lowest levels for which there are separately identifiable cash inflows from continuing use (CGUs). Impairment test can also be performed on a single asset when the fair value less costs of development or the value in use can be determined reliably. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed through profit or loss only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

(k) Dividends

Dividends are recognised as a liability in the period in which they are declared.

(l) Deposits from customers

Deposits from customers are recognised and accounted for on receipt basis as liabilities. Interest expense for interest earning deposits is accrued on the deposits on a daily basis.

Notes (continued)

2 Material accounting policies (continued)

(m) Comparatives

Except otherwise required, all amounts are reported or disclosed with comparative information. Where necessary, comparative figures have been adjusted to conform to changes in presentation in the current year.

(n) Inventories

Inventories are valued at the lower of cost and net realisable value. Cost comprises expenditure incurred in the normal course of business, including direct material costs, labour and direct overheads wherever appropriate on a weighted average basis, incurred in acquiring inventories or to bring them to the existing location and condition. Net realisable value is the price at which the inventories can be realised in the normal course of business after allowing for the costs of the realisation and, where appropriate, the cost of conversion from its existing state to a realisable condition. Allowance is made for obsolete, slow moving and defective inventories.

(o) Contingent liabilities

Significant litigations and claims against the Group and Company, letters of credit, acceptances, guarantees and performance bonds are accounted for and disclosed as contingent liabilities. Estimates of the outcome and the financial effect of contingent liabilities is made by management based on the information available up to the date the financial statements are approved for issue by the directors. Any expected loss is recognised in profit or loss.

(p) Fiduciary activities

The Group and Company commonly engages in trust or other fiduciary activities that result in the holding or placing of assets on behalf of individuals, trusts, post-employment benefit plans and other institutions. These assets and the income arising directly thereon are excluded from these annual financial statements as they are not assets of the Group and Company. However, fee income earned and fee expenses incurred by the Group and Company relating to the Group and Company's responsibilities from fiduciary activities are recognised in profit or loss.

(q) Derivative financial assets and liabilities

The Group and Company enters into derivatives (currency forwards and swaps) for trading purposes. At their inception, derivatives often involve only a mutual exchange of promises with little or no transfer of consideration. The Group and Company may take positions with the expectation of profiting from favourable movement in prices, rates or indices. The Group and Company's exposure under derivative contracts is closely monitored as part of the overall management of its market risk. Derivatives are recorded at fair value and carried as assets when their fair value is positive and as liabilities when their fair value is negative. Changes in the fair value of derivatives are included in net trading income.

The Group and Company uses the following derivative instruments:

Currency forwards

Forward contracts are contractual agreements to buy or sell a specified financial instrument at a specific price and date in the future. Forwards are customised contracts transacted in the over-the-counter market. The Group and Company has credit exposure to the counterparties of forward contracts. Forward contracts are settled gross and result in market risk exposure.

Notes (continued)

2 Material accounting policies (continued)

(r) Earnings per share

Earnings per share is calculated based on the profit or loss attributable to shareholders divided by the weighted number of ordinary shares. Diluted earnings per share is the same as the basic earnings per share. Diluted earnings per share are computed using the weighted average number of equity shares and dilutive potential ordinary shares outstanding during the period. During the year, there were no outstanding shares with dilutive potential.

(s) Investment property

Investment property comprises land, buildings and equipment (such as lifts and air-conditioning) that is considered an integral part of the building. Investment properties are held to earn rental income and for capital appreciation.

Investment property is initially measured at cost and subsequently at fair value with any change therein recognised in profit or loss. The gain or loss on disposal of investment property is recognised in profit or loss. The fair value of investment property is determined by external, independent property valuers, having appropriate recognised professional qualifications and recent experience in the location and category of the property being valued.

Subsequent expenditure is capitalised only if it is probable that future economic benefits associated with the expenditure will flow to the Company. Ongoing repairs and maintenance are expensed as incurred.

Gains and losses on disposal of investment properties are determined by reference to the carrying amount and are recognised in profit or loss in the period in which they arise.

(t) Provisions, contingent assets and contingent liabilities

Provisions are recognised when the Group and Company has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the amount of the obligation can be made. Provisions are determined by discounting the expected future cash flows using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the liability.

The increase in provision due to passage of time is recognised as an expense.

Where there are a number of similar obligations, the probability that an outflow will be required in settlement is determined by considering the class of obligations as a whole. Although the likelihood of outflow for any one item may be small, it may well be probable that some outflow of resources will be needed to settle the class of obligations as a whole. A provision for restructuring is recognised when the Group and Company has approved a detailed formal plan, and the restructuring either has commenced or has been announced publicly. Future operating costs or losses are not provided for. A provision for onerous contracts is recognised when the expected benefits to be derived by the Group and Company from a contract are lower than the unavoidable cost of meeting its obligations under the contract. The provision is measured at the present value of the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract. Before a provision is established, the Group and Company recognises any impairment loss on the assets associated with that contract.

Notes (continued)

2 Material accounting policies (continued)

(t) Provisions, contingent assets and contingent liabilities (continued)

Contingent assets are not recognised in the annual financial statements but are disclosed when, as a result of past events, it is probable that economic benefits will flow to the Group and Company, but this will only be confirmed by the occurrence or non-occurrence of one or more uncertain future events which are not wholly within the Group and Company's control.

Contingent liabilities include certain guarantees, other than financial guarantees, and letters of credit. Contingent liabilities are not recognised in the annual financial statements but are disclosed in the notes to the annual financial statements unless they are remote

(u) Business combinations and goodwill

Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred including acquisition cost, measured at acquisition date fair value and the amount of any non-controlling interest in the acquiree. For each business combination, the Group elects whether to measure the non-controlling interest in the acquiree at fair value or at the proportionate share of the acquiree's identifiable net assets. Acquisition related costs are expensed as incurred and included in operating expenses. When the Group acquires a business, it assesses the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date.

Goodwill is initially measured at cost, being the excess of the aggregate of the consideration transferred and the amount recognised for non-controlling interests and any previous interest held over the net identifiable assets acquired and liabilities assumed. If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, the Group re-assesses whether it has correctly identified all of the assets acquired and all of the liabilities assumed and reviews the procedures used to measure the amounts to be recognised at the acquisition date. If the reassessment still results in an excess of the fair value of net assets acquired over the aggregate consideration transferred, then the gain is recognised in profit or loss.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

In the Company's financial statements, investments in subsidiaries are accounted for at cost less accumulated impairment losses.

Notes (continued)

2 Material accounting policies (continued)

(v) Consolidation

i) Subsidiaries

Subsidiaries are all entities (including structured entities) over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

The consideration transferred for the acquisition of a subsidiary is the fair values of the assets transferred, the liabilities incurred to the former owners of the acquiree and the equity interests issued by the Group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Identifiable assets acquired, and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. The group recognises any non-controlling interest in the acquiree on an acquisition-by-acquisition basis, either at fair value or at the non-controlling interest's proportionate share of the recognised amounts of acquiree's identifiable net assets.

Acquisition-related costs are expensed as incurred.

If the business combination is achieved in stages, the acquisition date carrying amount of the acquirer's previously held equity interest in the acquiree is re-measured at fair value at the acquisition date; any gains or losses arising from such re-measurement are recognised in profit or loss.

Any contingent consideration to be transferred by the Group is recognised at fair value at the acquisition date. Subsequent changes to the fair value of the contingent consideration that is deemed to be an asset or liability is recognised in accordance with IFRS 9 either in profit or loss or as a change to other comprehensive income. Contingent consideration that is classified as equity is not re-measured, and its subsequent settlement is accounted for within equity.

The excess of the consideration transferred, the amount of any non-controlling interest in the acquiree and the acquisition-date fair value of any previous equity interest in the acquiree over the fair value of the identifiable net assets acquired is recorded as goodwill. If the total of consideration transferred, non-controlling interest recognised and previously held interest measured is less than the fair value of the net assets of the subsidiary acquired in the case of a bargain purchase, the difference is recognised directly in the statement of profit or loss and other comprehensive income.

Subsidiaries are all entities (including structured entities) over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

Notes (continued)

2 Material accounting policies (continued)

(v) Consolidation (continued)

i) Subsidiaries (continued)

The consideration transferred for the acquisition of a subsidiary is the fair values of the assets transferred, the liabilities incurred to the former owners of the acquiree and the equity interests issued by the Group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Identifiable assets acquired, and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. The group recognises any non-controlling interest in the acquiree on an acquisition-by-acquisition basis, either at fair value or at the non-controlling interest's proportionate share of the recognised amounts of acquiree's identifiable net assets.

Acquisition-related costs are expensed as incurred.

If the business combination is achieved in stages, the acquisition date carrying amount of the acquirer's previously held equity interest in the acquiree is re-measured at fair value at the acquisition date; any gains or losses arising from such re-measurement are recognised in profit or loss.

Any contingent consideration to be transferred by the Group is recognised at fair value at the acquisition date. Subsequent changes to the fair value of the contingent consideration that is deemed to be an asset or liability is recognised in accordance with IFRS 9 either in profit or loss or as a change to other comprehensive income. Contingent consideration that is classified as equity is not re-measured, and its subsequent settlement is accounted for within equity.

The excess of the consideration transferred, the amount of any non-controlling interest in the acquiree and the acquisition-date fair value of any previous equity interest in the acquiree over the fair value of the identifiable net assets acquired is recorded as goodwill. If the total of consideration transferred, non-controlling interest recognised and previously held interest measured is less than the fair value of the net assets of the subsidiary acquired in the case of a bargain purchase, the difference is recognised directly in the statement of profit or loss and other comprehensive income.

Inter-company transactions, balances and unrealised gains on transactions between group companies are eliminated. Unrealised losses are also eliminated. When necessary amounts reported by subsidiaries have been adjusted to conform to the Group's accounting policies.

(ii) Changes in ownership interests

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions – that is, as transactions with the owners in their capacity as owners. The difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

Notes (continued)

2 Material accounting policies (continued)

(v) Consolidation (continued)

(iii) Disposal of subsidiaries

When the Group ceases to have control, any retained interest in the entity is remeasured to its fair value at the date when control is lost, with the change in carrying amount recognised in profit or loss. The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognised in other comprehensive income in respect of that entity are accounted for as if the Group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognised in other comprehensive income are reclassified to profit or loss.

(w) Operating segments

Operating segments are components that engage in business activities that may earn revenues or incur expenses, whose operating results are regularly reviewed and for which discrete financial information is available.

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. The chief operating decision-maker who is responsible for allocating resources and assessing the performance of the operating segments has been identified as the Strategy and Investment Committee that makes strategic decisions.

All transactions between business segments are conducted on an arm's length basis, with intra-segment revenue and costs being eliminated in head office. Income and expenses directly associated with each segment are included in determining business segment performance.

Operating segments defined at HF Group Plc are organised in four main reporting segments. The segmentation is based on the Group's management and internal reporting structure.

The following summary describes the operations of each of the Group's reportable segment;

- Retail banking: This segment is mainly responsible for sourcing residential mortgages for individual owner occupiers, micro loans, personal loans and it forms the major proportion of the Group's loan book. The segment is also responsible for the sourcing of deposits from retail customers which are then used to finance the Group's loan products.
- Corporate banking: This segment is responsible for sourcing for deposits from corporate organizations. It is also in charge of projects, providing lending to property developers for construction. This includes construction of residential houses for sale, construction of office blocks, schools, hospitals and other related infrastructure.
- Property Development: This function is undertaken by one of the Group's subsidiaries, HF Development and Investment Limited and its core business is the development of housing projects and the sale of houses thereof.

Notes (continued)

2 Material accounting policies (continued)

(w) Operating segments (continued)

- Bancassurance: The bancassurance function is based at the HF Insurance Agency Limited and the business is procuring insurance business and earning commissions thereof.

Segment profit is used to measure performance as management believes that such information is the most relevant in evaluating the results of each.

(x) Joint arrangements

Under IFRS 11 Joint Arrangements investments in joint arrangements are classified as either joint operations or joint ventures. The classification depends on the contractual rights and obligations of each investor, rather than the legal structure of the joint arrangement.

Joint operations

The Group recognises its direct right to the assets, liabilities, revenues and expenses of joint operations and its share of any jointly held or incurred assets, liabilities, revenues and expenses. The Group does not have joint operations arrangements.

Joint ventures

Interests in joint ventures are accounted for using the equity method, after initially being recognised at cost in the statement of financial position. The Group's joint venture arrangements have been disclosed under Note 20.

3 Critical accounting estimates and judgements

Use of estimates and judgements

The preparation of financial statements requires the use of accounting estimates which, by definition, will seldom equal the actual results. The directors also need to exercise judgment in applying the Group and Company's accounting policies.

All estimates and assumptions required in conformity with IFRS are best estimates undertaken in accordance with the applicable standard. Estimates and judgements are evaluated on a continuous basis and are based on experience and other factors, including expectations with regard to future events.

This note provides an overview of the areas that involve a higher degree of judgment or complexity, and major sources of estimation uncertainty that have a significant risk of resulting in a material adjustment within the next financial year. Detailed information about each of these estimates and judgements is included in the related notes together with information about the basis of calculation for each affected line item in the financial statements.

(a) Measurement of the expected credit loss allowance

The measurement of the expected credit loss allowance for financial assets measured at amortised cost and FVOCI is an area that requires the use of complex models and significant assumptions about future economic conditions and credit behaviour (e.g. the likelihood of customers defaulting and the resulting losses).

Notes (continued)

3 Critical accounting estimates and judgements (continued)

Use of estimates and judgements (continued)

The estimation of potential credit losses is inherently uncertain and depends upon many factors, including general economic conditions, changes in individual customers' circumstances, structural changes within industries that alter competitive positions and other external factors such as legal and regulatory requirements.

Impairment is measured for all accounts that are identified as non-performing. All relevant considerations that have a bearing on the expected future cash flows are considered which include but not limited to future business prospects for the customer, realizable value of securities, the Group and Company's position relative to other claimants and the existence of any court injunctions placed by the borrower. Subjective judgments are made in this process of cash flow determination both in value and timing and may vary from one person to another and team to team. Judgments may also change with time as new information becomes available.

The Group and Company reviews its loans and advances at each reporting date to assess whether an allowance for impairment should be recognized in profit or loss. In particular, judgment by the directors is required in the estimation of the amount and timing of future cash flows when determining the level of allowance required. Such estimates are based on the assumptions about a number of factors and actual results may differ, resulting in future changes in the allowance.

Judgements

The following represent critical judgements adopted

- Ascertaining what constitutes significant increase in credit risk
- Criteria used in determination of which exposures should be individually assessed;
- Definition of default and/or credit impaired;

Estimates

The following approach was adopted to determine estimates

- Selecting and calibrating the PD, LGD and EAD models which support the calculations, including making reasonable and supportable judgements about how models react to current and future economic conditions
- Selecting model inputs including determining whether sufficient and appropriately weighted economic forecasts are incorporated to calculate unbiased expected losses
- Determining balances to write off

The Group and Company has revised its estimated expected credit losses, in response to uncertainties, elevated credit risks and weakening global market conditions due to the pandemic. The financial impact of the downturn in the economy on the Group and Company's financial instruments was reassessed with changes made to the Probability of Default (PD) rates and Loss Given Default (LGD). Where applicable, the probability weightings assigned to possible loss scenarios were also revised. In determining what was considered to be appropriate levels for these critical inputs. Some judgement was also applied, based on credit experience with the Group and Company's borrowing clients. Under Note 4 we have set out assumptions used in determining ECL and provides an indication of the sensitivity of the different weightings and changes to PD being applied in different scenarios.

Notes (continued)

4 Financial risk management

The Group has exposure to the following risks from its use of financial instruments:

- credit risk
- liquidity risk
- market risk
- capital management

The directors have overall responsibility for the establishment and oversight of the Group's risk management framework.

The Group's risk management policies are established to identify and analyse the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities.

(a) Credit risk

Credit risk is the current or prospective risk to earnings and capital arising from an obligor's failure to meet the terms of any contract with the Group or if an obligor otherwise fails to perform as agreed.

The Group's policy is to pursue timely realisation of the collateral in an orderly manner.

The Group holds collateral against loans and advances to customers in the form of mortgage interests over property. Estimates of fair value are based on the value of collateral assessed at the time of borrowing, and generally, are not updated except when a loan is individually assessed as impaired. Collateral is not held over placements with banks and investment in government securities as these are considered to be low credit risk.

Management of credit risk

The Board of directors has delegated responsibility for the management of credit risk to the Group's management through the Group Chief Executive Officer. Management has delegated this responsibility to head office and branch credit committees. The Group's credit committee, reporting to the Group Chief Executive Officer, is responsible for oversight of the credit risk, including:

- Formulating credit policies in consultation with business units, covering collateral requirements, credit assessment, risk grading and reporting, documentary and legal procedures, and compliance with regulatory and statutory requirements.
- Establishing the authorisation structure for the approval and renewal of credit facilities. Authorisation limits are allocated to head office and branch credit committees.
- Reviewing and assessing credit risk. The Group Credit Committee assesses all credit exposures in excess of designated limits, prior to facilities being committed to customers by the branch concerned. Renewals and reviews of facilities are subject to the same review process.
- Limiting concentrations of exposure to counterparties and industries for loans and advances.
- Reviewing compliance with agreed exposure limits, including those for selected industries and product types. Regular reports are provided to the Group's Credit department on the credit quality of different portfolios and appropriate corrective action is taken.

Regular audits of branches and Group's credit processes are undertaken by internal audit.

Notes (continued)

4 Financial risk management (continued)

(a) Credit risk (continued)

The Group's maximum exposure to credit risk for the components of the statement of financial position at 31 December is their carrying amount as illustrated in the table below:

	Note	2025 Shs' 000	2024 Shs' 000
Credit exposures			
On – balance sheet items			
Balances and deposits due from financial institutions*	16	1,803,998	2,966,514
Investment securities	18	28,337,301	16,970,061
Loans and advances to customers	22	41,107,862	38,861,015
<i>Other assets</i>			
Trade receivables	23	1,738,714	1,430,790
Receivable from KMRC	23	50,000	50,000
Impairment for other assets	23	(67,381)	(26,957)
		72,970,494	60,251,423
Off-balance sheet items			
Guarantees	34	4,144,367	607,593
Letters of credit	34	175,932	94,935
Commitments	34	290,835	79,215
		4,611,134	781,743
		77,581,628	61,033,166

*Balances and deposits due from financial institutions excludes cash at hand as disclosed under Note 16 as this does not pose a credit risk.

The credit risk on balances and deposits due from financial institutions and investment securities is limited as the counterparties are all recognised financial institutions with high credit rating.

Prepayments and foreclosed assets (Note 23) have been excluded from credit risk exposure balances as they do not bear any credit risk. The balances are settled no more than 12 months after the reporting date. All the balances are non-interest bearing and impairment of Shs 67,381,000 (2024: Shs 26,957,000) has been recognised against them at 31 December 2025.

Letters of credit, acceptances, guarantees and performance bonds are issued by the Bank, on behalf of customers, to guarantee performance by customers to third parties. The Bank will only be required to meet these obligations in the event of default by the customers.

Notes (continued)

4 Financial risk management (continued)

(b) Credit risk (continued)

Management of credit risk (continued)

The Company's maximum exposure to credit risk for the components of the statement of financial position at 31 December is their carrying amount as illustrated in the table below:

	Note	2025 Shs' 000	2024 Shs' 000
Credit exposures			
Cash and cash equivalents	16	25,042	250,736
Other assets	23	7,820	552
		<u>32,862</u>	<u>251,288</u>

Exposure to credit risk (loans and advances)

	Stage 1 12-month ECL Shs' 000	2025 Stage 2 Lifetime ECL Shs' 000	Stage 3 Lifetime ECL Shs' 000	Total Shs' 000
<i>Amortised cost</i>				
Individually and collectively impaired				
Grade 3: Substandard	-	-	917,302	917,302
Grade 4: Doubtful	-	-	9,410,432	9,410,432
Grade 5: Loss	-	-	735,343	735,343
Gross amount	-	-	11,063,077	11,063,077
Provision for impairment losses	-	-	(4,082,888)	(4,082,888)
Carrying amount	-	-	6,980,189	6,980,189
Grade 1: Normal	30,754,817	-	-	30,754,817
Grade 2: Watch	-	3,733,986	-	3,733,986
Gross amount	30,754,817	3,733,986	-	34,488,803
Provision for impairment losses	(138,718)	(222,412)	-	(361,130)
Carrying amount	30,616,098	3,511,574	-	34,127,673
Total carrying amount	30,616,098	3,511,574	6,980,189	41,107,862

Notes (continued)

4 Financial risk management (continued)

(a) Credit risk (continued)

Management of credit risk (continued)

Exposure to credit risk (loans and advances)

	2024			
	Stage 1 12-month ECL Shs' 000	Stage 2 Lifetime ECL Shs' 000	Stage 3 Lifetime ECL Shs' 000	Total Shs' 000
<i>Amortized cost</i>				
Individually and collectively impaired				
Grade 3: Substandard	-	-	1,571,423	1,571,423
Grade 4: Doubtful	-	-	9,976,276	9,976,276
Grade 5: Loss	-	-	416,776	416,776
Gross amount	-	-	11,964,475	11,964,475
Provision for impairment losses	-	-	(3,695,809)	(3,695,809)
Carrying amount	-	-	8,268,666	8,268,666
Grade 1: Normal	27,612,434	-	-	27,612,434
Grade 2: Watch	-	3,270,559	-	3,270,559
Gross amount	27,612,434	3,270,559	-	30,882,993
Provision for impairment losses	(136,208)	(154,436)	-	(290,644)
Carrying amount	27,476,226	3,116,123	-	30,592,349
Total carrying amount	27,476,226	3,116,123	8,268,666	38,861,015

Doubtful account includes loans and advances whose days past due is over 180 days. Loss account represents those accounts which are considered uncollectible by the Bank.

Notes (continued)

4 Financial risk management (continued)

(a) Credit risk (continued)

Exposure to credit risk per segment

Gross carrying amounts	2025			Total Shs' 000
	Stage 1	Stage 2	Stage 3	
	12-month ECL Shs' 000	Lifetime ECL Shs' 000	Lifetime ECL Shs' 000	
Commercial	4,900,191	941,692	1,185,699	7,027,582
IPF	124,375	3,038	5,924	133,337
Micro	546,396	689	404	547,489
Mortgage	20,940,209	2,430,648	3,100,674	26,471,531
Projects	681,503	94,177	6,070,881	6,846,561
Unsecured	3,575,306	255,638	694,436	4,525,380
Gross amount	30,767,980	3,725,882	11,058,018	45,551,880

Provision for impairment losses	2025			Total Shs' 000
	Stage 1	Stage 2	Stage 3	
	12-month ECL Shs' 000	Lifetime ECL Shs' 000	Lifetime ECL Shs' 000	
Commercial	22,458	41,079	320,875	384,412
IPF	815	58	5,918	6,791
Micro	-	-	403	403
Mortgage	26,684	93,109	1,014,625	1,134,418
Projects	248	382	2,053,397	2,054,027
Unsecured	88,515	87,782	687,670	863,967
Gross amount	138,720	222,410	4,082,888	4,444,018

Notes (continued)

4 Financial risk management (continued)

(a) Credit risk (continued)

Exposure to credit risk per segment

Gross carrying amounts	2024			Total Shs' 000
	Stage 1	Stage 2	Stage 3	
	12-month ECL Shs' 000	Lifetime ECL Shs' 000	Lifetime ECL Shs' 000	
Commercial	3,655,736	569,352	1,351,406	5,576,494
IPF	60,692	1,590	5,405	67,687
Micro	443,312	5,676	0	448,988
Mortgage	19,513,267	2,557,445	3,305,375	25,376,087
Projects	760,024	160,547	6,546,214	7,466,785
Unsecured	3,192,568	165,174	553,686	3,911,428
Gross amount	27,625,599	3,459,784	11,762,086	42,847,468

Provision for impairment losses	2024			Total Shs' 000
	Stage 1	Stage 2	Stage 3	
	12-month ECL Shs' 000	Lifetime ECL Shs' 000	Lifetime ECL Shs' 000	
Commercial	18,663	27,308	312,662	358,633
IPF	509	9	5,390	5,908
Micro	77	-	-	77
Mortgage	28,359	123,168	769,154	920,681
Projects	373	108	2,012,880	2,013,361
Unsecured	88,228	49,503	550,062	687,793
Gross amount	136,209	200,096	3,650,148	3,986,453

Notes (continued)

4 Financial risk management (continued)

(a) Credit risk (continued)

Management of credit risk (continued)

Grade 1 and grade 2 represent loans and advances that are not impaired. Grade 3, grade 4 and grade 5 refer to loans and advances that have been impaired in line with the Group's credit policy and internal model. These represent the loans and advances that the Group cannot collect according to contractual terms of the loan agreements.

Impaired loans

Impaired loans are loans which the Group determines that it is probable that it will be unable to collect all principal and interest due according to the contractual terms of the loan agreements.

Past due but not impaired loans

These are loans where contractual interest or principal payments are past due but the Bank believes that impairment is not appropriate on the basis of the stage of collection of amounts owed to the Bank.

Allowances for impairment

The loss allowance recognised in the period is impacted by a variety of factors as follows:

- Transfers between Stage 1 and Stage 2 or 3 due to financial instruments experiencing
- significant increases (or decreases) of credit risk or becoming credit impaired in the period, and the consequent "step up" or "step down" between 12-month and lifetime ECL;
- Additional allowance for new financial instruments recognised during the period, as well as releases for financial instruments de-recognised in the period;
- Impact on the measurement of ECL due to changes in PDs, EADs and LGDs in the period, arising from regular refreshing of inputs to models;
- Impacts on the measurement of ECL due to changes made to models and assumptions;
- Discount unwind within ECL due to the passage of time, as ECL is measured on a present value basis; and
- Financial assets derecognised during the period and write-offs of allowances related to assets that were written off during the period.

Write-off policy

The Group writes off a loan balance when the credit department determines that the loans are uncollectible. This determination is reached after considering information such as the occurrence of significant changes in the borrower's financial position such that the borrower can no longer pay the obligation or that proceeds from collateral have failed to cover the entire facility outstanding. For smaller balance standardised loans, write-off decisions are generally based on a product specific past due default history.

Notes (continued)

4 Financial risk management (continued)

(a) Credit risk (continued)

Management of credit risk (continued)

Collateral on loans and advances

The Group routinely obtains collateral and security to mitigate credit risk. The Group ensures that any collateral held is sufficiently liquid, legally effective, enforceable and regularly reassessed. Before attaching value to collateral, the business holding approved collateral must ensure that they are legally perfected devoid of any encumbrances. Security structures and legal covenants are subject to regular review, to ensure that they remain fit for purpose and remain consistent with accepted local market practice. The principal collateral types held by the Group for loans and advances are Mortgages over residential properties and commercial properties.

The Group has a panel of valuers who undertake valuation of property and other assets to be used as collateral. The valuers in the panel are qualified professional valuers with adequate experience in the field of property and machinery valuation. The valuation is performed on origination, periodically in line with the Group policy and in the course of enforcement actions. Collateral for impaired loans is reviewed regularly to ensure that it is still enforceable, and that the impairment allowance remains appropriate given the current valuation.

The Group has considered all relevant factors, including local market conditions and practices, before any collateral is realized. The collateral held by the Group against loans and advances is as below;

	Group	
	2025	2024
	Shs' 000	Shs' 000
Property	73,175,858	69,760,879
Cash	850,372	2,458,693
	74,026,230	72,219,572

The Group monitors concentration of credit risk by sector. An analysis of concentration of credit risk at the reporting date is shown below:

	Group	
	2025	2024
	Shs' 000	Shs' 000
<i>Concentration by segment (Gross)</i>		
Commercial	7,027,582	5,576,494
IPF	133,337	67,687
Micro	547,489	448,988
Mortgage	26,471,531	25,376,086
Projects	6,846,561	7,466,785
Unsecured	4,525,380	3,911,428
	45,551,880	42,847,468

Notes (continued)

4 Financial risk management (continued)

(a) Credit risk (continued)

Management of credit risk (continued)

Impairment assessment

The Group calculates ECLs either on a collective or an individual basis.

Asset classes where the Group calculates ECL on an individual basis include:

All Stage 3 assets, regardless of the class of financial assets:

- The treasury, trading and interbank relationships (such as due from Banks, cash collateral on securities borrowed and reverse repurchase agreements and debt instruments at amortised cost/FVOCI)
- Exposures that have been classified as POCI when the original loan was derecognised, and a new loan was recognised as a result of a credit driven debt restructuring

Asset classes where the Group calculates ECL on a collective basis include:

- The smaller and more homogenous balances of the Group's loan portfolio
- Stage 1 and 2 retail mortgages, consumer lending and construction projects
- POCI exposures managed on a collective basis

The Group groups these exposures into smaller homogeneous portfolios, based on a combination of internal and external characteristics of the loans.

The Bank incorporates forward-looking information into both its assessment of whether the credit risk of an instrument has increased significantly since its initial recognition and its measurement of ECL. On the basis of a variety of external actual and forecast information, the Bank formulates a 'base case' view of the future direction of relevant economic variables as well as a representative range of other possible forecast scenarios. This process involves developing two additional economic scenarios and considering the relative probabilities of each outcome.

External information includes economic data and forecasts published by governmental bodies and monetary authorities, other organisations such as the International Monetary Fund (IMF), World Bank and selected private-sector and academic forecasters.

The base case represents a most-likely outcome and is aligned with information used by the Bank for other purposes such as strategic planning and budgeting. The other scenarios represent more optimistic and more pessimistic outcomes. Periodically, the Bank carries out stress testing of more extreme shocks to calibrate its determination of these other representative scenarios.

Notes (continued)

4 Financial risk management (continued)

(a) Credit risk (continued)

Measurement uncertainty and sensitivity analysis of ECL estimates

The ECL calculation is sensitive to changes in probability of default (PD) and LGD as explained below.

Probability of Default (PD) and Loss Given Default (LGD)

The credit allowance estimate is also sensitive to changes in PD and LGD. Worsening PDs and LGDs by 100bps results in an increase of Shs 1,226,980,000 in provisions (2024 increase: Shs 1,135,361,000)

Sensitivity Analysis: Impact of a 10% Increase in Probability of Default (PD) and Loss Given Default (LGD)

The case below considers a 10% deterioration in Probability of Default (PD) and Loss Given Default (LGD) for each IFRS 9 loan stage; Stage 1, Stage 2, and Stage 3 relative to the current portfolio

PDs are assumed to deteriorate by 10% for each IFRS 9 loan stage; Stage 1, Stage 2, and Stage 3, respectively

2025	Base Case ECL (KES'000)	Stress Case ECL (PDs worse by 10%	Stress Case ECL (LGDs worse by 10%	Change in ECL allowance	
	Shs'000	Shs'000	Shs'000	Shs'000	%
Stage 1	138,718	10,906	10,906	21,811	16%
Stage 2	222,412	22,173	22,173	44,347	20%
Stage 3	4,082,888	391,163	769,659	1,160,822	28%
	4,444,018	424,242	802,738	1,226,980	

2024	Base case	Stress Case ECL (PDs worse by 10%	Stress Case ECL (LGDs worse by 10%	Change in ECL allowance	
	Shs'000	Shs'000	Shs'000	Shs'000	%
Stage 1	136,208	10,447	10,447	20,894	15%
Stage 2	154,436	20,010	20,010	40,020	26%
Stage 3	3,695,809	365,015	709,433	1,074,448	29%
	3,986,453	395,471	739,890	1,135,362	

Notes (continued)

4 Financial risk management (continued)

(a) Credit risk (continued)

The simulations are run on a stand-alone basis and are independent of each other. The potential ECL impacts reflect the simulated impact as at 31 December 2025.

For 2025, the bank's expected credit loss (ECL) allowances were assessed under both a base case and a stress case scenario, which assumed a 10% worsening of probability of default (PD) and loss given default (LGD).

Measurement of ECL

The key inputs into the measurement of ECL are the term structure of the following variables:

- Probability of default (PD);
- Loss given default (LGD);
- Exposure at default (EAD).

These parameters are generally derived from internally developed statistical models and other historical data. They are adjusted to reflect forward-looking information as described above.

PDs are estimates at a certain date, which are calculated based on statistical models, and assessed using rating tools tailored to the various categories of counterparties and exposures. These statistical models are based on internally compiled data comprising both quantitative and qualitative factors. Where it is available, market data may also be used to derive the PD for loans and advances to banks and investment securities. LGD is the magnitude of the likely loss if there is a default. The Bank estimates LGD parameters based mainly on the counterparties' collateral and also on the history of recovery rates of claims against defaulted counterparties. The LGD models consider the structure, collateral, seniority of the claim, counterparty industry and recovery costs of any collateral that is integral to the financial asset. They are calculated on a discounted cash flow basis using the effective interest rate as the discounting factor.

Further recent data and forward-looking economic scenarios are used in order to determine the IFRS 9 LGD rate for each group of financial instruments. When assessing forward-looking information, the expectation is based on multiple scenarios. Examples of key inputs involve changes in, collateral values including property prices for mortgages, commodity prices, payment status or other factors that are indicative of losses in the group. The Group estimates regulatory and IFRS 9 LGDs on a different basis. Under IFRS 9, LGD rates are estimated for the Stage 1, Stage 2, Stage 3 and purchased or originated credit impaired (POCI) IFRS 9 segment of each asset class. The inputs for these LGD rates are estimated and, where possible, calibrated through back testing against recent recoveries. These are repeated for each economic scenario as appropriate.

EAD represents the expected exposure in the event of a default. The EAD of a financial asset is its gross carrying amount. For lending commitments and financial guarantees, the EAD includes the amount drawn, as well as potential future amounts that may be drawn under the contract, which are estimated based on historical observations and forward-looking forecasts.

Notes (continued)

4 Financial risk management (continued)

(a) Credit risk (continued)

Measurement of ECL (continued)

The exposure at default (EAD) represents the gross carrying amount of the financial instruments subject to the impairment calculation, addressing both the obligor's ability to increase its exposure while approaching default and potential early repayments too. To calculate the EAD for a Stage 1 loan, the Group assesses the possible default events within 12 months for the calculation of the 12 months ECL. However, if a Stage 1 loan that is expected to default in the 12 months from the balance sheet date and is also expected to cure and subsequently default again, then all linked default events are considered. For Stage 2, Stage 3 and purchased or originated credit impaired (POCI) financial assets, the exposure at default is considered for events over the lifetime of the instruments.

The Group determines EADs by modelling the range of possible exposure outcomes at various points in time, corresponding the multiple scenarios. The IFRS 9 PDs are then assigned to each economic scenario based on the outcome of Group's models.

Significant increase in credit risk

The Group continuously monitors all assets subject to ECLs. In order to determine whether an instrument or a portfolio of instruments is subject to 12-month ECL or lifetime ECL, the Group assesses whether there has been a significant increase in credit risk since initial recognition. The Group considers an exposure to have significantly increased in credit risk when the IFRS 9 lifetime PD has doubled since initial recognition.

The Group also applies a secondary qualitative method for triggering a significant increase in credit risk for an asset, such as moving a customer/facility to the watch list, or the account becoming forborne. In certain cases, the Group may also consider that some events are a significant increase in credit risk as opposed to a default. Regardless of the change in credit grades, if contractual payments are more than 30 days past due, the credit risk is deemed to have increased significantly since initial recognition. For stage 1 loans and advances, a qualitative assessment is performed to determine whether there has been a significant increase in credit.

When estimating ECLs on a collective basis for a group of similar assets, the Group applies the same principles for assessing whether there has been a significant increase in credit risk since initial recognition.

Contingent liabilities and commitments

To meet the financial needs of customers, the Group enters into various irrevocable commitments and contingent liabilities. These consist of financial guarantees, letters of credit and other commitments to lend. Even though these obligations may not be recognised on the statement of financial position, they contain credit risk and, therefore, form part of the overall risk of the Group.

Letters of credit and guarantees (including standby letters of credit) commit the Group to make payments on behalf of customers in the event of a specific act, generally related to the import or export of goods. Guarantees and standby letters of credit carry a similar credit risk to loans.

Notes (continued)

4 Financial risk management (continued)

(a) Credit risk (continued)

Measurement of ECL (continued)

The nominal values of such commitments are listed below: -

	2025 Shs'000	2024 Shs'000
Undrawn overdrafts	290,835	79,215
Letters of credit	175,932	94,935
Guarantees	4,144,367	607,593
	4,611,134	781,743
Allowance for impairment losses	(28,271)	(7,749)
	4,582,863	773,994

The loss allowance on outstanding commitments and financial guarantees is carried in other liabilities and therefore no impact on the carrying amounts.

Impairment losses for loans and advances

The reconciliation from the opening to the closing balance of the loss allowance for loans and advances has been disclosed under Note 21.

An estimate of the fair values of collateral held against loans and advances to customers is shown below:

	2025 Shs'000	2024 Shs'000
Against impaired accounts	11,136,403	13,015,176
Against accounts not impaired	62,889,827	59,204,396
	74,026,230	72,219,572

Notes (continued)

4 Financial risk management (continued)

(b) Liquidity risk

Liquidity risk is the risk that the Group will not be able to meet its financial obligations as they fall due. The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

Management of liquidity risk

Typically, the Group ensures that it has sufficient cash on demand to meet expected operational expenses for a period of 60 days, including the servicing of financial obligations; this excludes the potential impact of extreme circumstances that cannot reasonably be predicted, such as natural disasters.

To limit this risk, management has arranged for diversified funding sources in addition to its core deposit base and adopted a policy of managing assets with liquidity in mind and monitoring future cash flows and liquidity on a daily basis. The Group has developed internal control processes and contingency plans for managing liquidity risk.

This incorporates an assessment of expected cash flows and the availability of high-grade collateral which could be used to secure additional funding if required. The Group maintains a portfolio of highly marketable and diverse assets that are assumed to be easily liquidated in the event of an unforeseen interruption in cash flow. The Group also has lines of credit that it can access to meet liquidity needs.

In accordance with the Group's policy, the liquidity position is assessed under a variety of scenarios, giving due consideration to stress factors relating to both the market in general and specifically to the Group. Net liquid assets consist of cash, short-term bank deposits and liquid debt securities available for immediate sale, less deposits from banks and borrowings due to mature within the next month.

The Group stresses the importance of current accounts and savings accounts as sources of funds to finance lending to customers. They are monitored using the advances to deposit ratio, which compares loans and advances to customers as a percentage of core customer current and savings accounts, together with term funding with a remaining term to maturity in excess of one year.

Treasury maintains a portfolio of short-term liquid assets, largely made up of short-term liquid investment securities, loans and advances to banks and other inter-bank facilities, to ensure that sufficient liquidity is maintained within the Group as a whole. The daily liquidity position is monitored and regular liquidity stress testing is conducted under a variety of scenarios covering both normal and more severe market conditions. All liquidity policies and procedures are subject to review and approval by Board Risk Management Committee.

Exposure to liquidity risk

The key measure used by the Group for managing liquidity risk is the ratio of net liquid assets to deposits from customers. For this purpose, net liquid assets are considered as including cash and cash equivalents and investment securities for which there is an active and liquid market less any deposits from financial institutions and commitments maturing within the next 91 days.

Notes (continued)

4 Financial risk management (continued)

(b) Liquidity risk (continued)

Details of the reported Group ratio of net liquid assets to customers' deposits at the reporting date and during the reporting period were as follows:

	2025	2024
At 31 December	51.76%	41.90%
Average for the year	49.39%	27.71%
Maximum for the year	54.19%	41.90%
Minimum for the year	41.82%	24.30%
Minimum statutory requirement	20.00%	20.00%

Notes (continued)

4 Financial risk management

(b) Liquidity risk (continued)

Contractual maturity analysis of financial assets and liabilities

The table below analyses the liquidity position of the Group's financial assets and liabilities:

Year ended 31 December 2025	Less than 3 months Shs'000	3 - 6 months Shs'000	6 months - 1 year Shs'000	1 - 5 years Shs'000	More than 5 years Shs'000	Total Shs'000
<i>Financial assets</i>						
Cash balances and deposits in financial institutions	2,282,270	-	7,057	-	-	2,289,327
Government securities	1,677,605	1,807,529	2,634,545	14,816,283	40,122,591	61,058,553
Loans and advances to customers	4,106,024	2,213,034	4,169,319	31,815,424	42,395,456	84,699,257
Other assets	2,085,314	-	-	-	-	2,085,314
Total financial assets	10,151,213	4,020,563	6,810,921	46,631,707	82,518,047	150,132,451
<i>Financial liabilities</i>						
Deposits from banks	1,023,899	-	-	-	-	1,023,899
Deposits from customers	43,278,568	8,409,947	4,649,268	482,969	317,545	57,138,297
Other liabilities	4,046,695	-	-	-	-	4,046,695
Borrowings	76,222	517,622	501,901	1,499,305	1,795,796	4,390,846
Lease liabilities	18,043	26,312	17,201	115,001	6,066	182,623
Total financial liabilities	48,443,427	8,953,881	5,168,370	2,097,275	2,119,407	5,168,370
Net liquidity gap	(38,292,214)	(4,933,318)	1,642,551	44,534,432	80,398,640	83,350,091

Notes (continued)

4 Financial risk management

(b) Liquidity risk (continued)

Contractual maturity analysis of financial assets and liabilities

The table below analyses the liquidity position of the Group's financial assets and liabilities:

Year ended 31 December 2024	Less than 3 months Shs'000	3 - 6 months Shs'000	6 months - 1 year Shs'000	1 - 5 years Shs'000	More than 5 years Shs'000	Total Shs'000
<i>Financial assets</i>						
Cash balances and deposits in financial institutions	3,482,293	181,877				2,578,697
Government securities	1,914,276	1,333,108	2,184,690	9,734,906	16,728,066	31,895,046
Loans and advances to customers	2,974,012	1,794,922	3,626,771	30,544,229	40,560,333	79,500,267
Other assets	1,820,847	-	-	-	-	1,820,847
Total financial assets	10,191,428	3,309,907	5,811,461	40,279,135	57,288,399	116,880,330
<i>Financial liabilities</i>						
Deposits from banks	388,105	-	-	-	-	388,105
Deposits from customers	37,810,717	5,982,018	3,576,856	1,237,937	809,008	49,416,536
Other liabilities	3,730,923	-	-	-	-	3,730,923
Borrowings	51,054	346,706	174,662	1,004,243	1,364,348	2,941,013
Lease liabilities	17,006	33,749	23,567	164,918	18,772	258,012
Total financial liabilities	41,997,805	6,362,473	3,775,085	2,407,098	2,192,128	56,734,589
Net liquidity gap	(31,806,377)	(3,052,566)	2,036,376	37,872,037	55,096,271	60,145,741

Notes (continued)

4 Financial risk management

(b) Liquidity risk (continued)

Year ended 31 December 2025	Less than 3 months	3 - 6 months	6 months - 1 year	1 - 5 years	More than 5 years	Total
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
<i>Off balance sheet exposures</i>						
Letters of credit	99,654	35,299	40,980	-	-	175,933
Guarantees	558,813	1,146,338	1,774,941	664,275	-	4,144,367
Forward derivatives		336,825	672,650	-	-	1,009,475
Unrecognised loan commitments	131,407	65,479	93,949	-	-	290,835
Total commitments and guarantees	789,874	1,583,941	2,582,520	664,275	-	5,620,610
Year ended 31 December 2024						
<i>Off balance sheet exposures</i>						
Letters of credit	34,029	60,906	-	-	-	94,935
Guarantees	270,506	119,736	171,880	45,471	-	607,593
Forward derivatives	511,346	202,825	275,100	-	-	989,271
Unrecognised loan commitments	42,266	4,133	32,816	-	-	79,215
Total commitments and guarantees	858,147	387,600	479,796	45,471	-	1,771,014

Notes (continued)

4 Financial risk management (continued)

(b) Liquidity risk (continued)

The table below summarises the maturity profile of the undiscounted cash flows of the Company's financial assets and liabilities as at 31 December.

Year ended 31 December 2025	Up to 3 months Shs	3-12 months Shs	1 – 2 years Shs	Total Shs
<i>Financial assets</i>				
Cash and bank balances	25,042	-	-	25,042
Trade and other receivables	-	7,820	-	7,820
	25,042	7,820	-	32,682
<i>Financial liabilities</i>				
Trade and other payables	-	397,721	-	397,721
	-	397,721	-	397,721
Liquidity gap 31 December 2025	25,042	(389,901)	-	(364,859)
Year ended 31 December 2024	Up to 3 months Shs	3-12 months Shs	1 – 2 years Shs	Total Shs
<i>Financial assets</i>				
Cash and bank balances	250,736	-	-	250,736
Trade and other receivables	-	552	-	552
	250,736	552	-	251,288
<i>Financial liabilities</i>				
Trade and other payables	-	590,314	-	590,314
	-	590,314	-	590,314
Liquidity gap 31 December 2024	250,736	(589,762)	0	(339,026)

Notes (continued)

4 Financial risk management (continued)

(b) Liquidity risk (continued)

Liquidity reserves

The following table sets out the components of the Group's liquidity reserves.

	2025 Shs'000	2024 Shs'000
Liquidity reserves		
Cash at hand	485,329	678,473
Balances with commercial banks	127,648	478,339
Balances with Central Bank of Kenya:	1,669,293	1,421,885
Placements with other banks	7,057	1,066,290
Government securities	28,267,302	16,970,061
Total liquidity reserves	30,556,629	20,615,048

(c) Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and equity prices will affect the Group's income or the value of its holdings of financial instruments.

Management of market risks

The objective of market risk measurement is to manage and control market risk exposures within acceptable limits while optimising the return on risk. The Group's Treasury is responsible for the development of detailed market risk management policies and for day-to-day implementation of those policies.

Furthermore, it includes the protection and enhancement of the statement of financial position and statement of profit or loss and other comprehensive income and facilitating business growth within a controlled and transparent risk management framework.

All foreign exchange risk within the Group is managed by the Treasury department. Accordingly, the foreign exchange position is treated as part of the Group's trading portfolios for risk management purposes.

Overall authority for market risk management is vested in the Board Risk Management Committee. The Finance and Treasury departments in collaboration with the Risk Management department are responsible for the development of detailed market risk management policies (subject to review and approval by Board Risk Management Committee) and for the day-to-day review of their implementation.

Notes (continued)

4 Financial risk management (continued)

(c) Market risk (continued)

(i) Foreign exchange risk

Foreign exchange risk arises from recognised assets and liabilities. The Group's exposure to foreign currency risk arose from assets denominated in US Dollars, EUR and GBP was as follows:

31 December 2025	US\$ Shs' 000	GBP Shs' 000	Euro Shs' 000	Total Shs' 000
<i>Assets</i>				
Cash and cash equivalents	376,894	38,252	82,603	497,749
Loans and advances to customers	1,362,207	31,207	2	1,393,416
Investment in government securities	2,569,813	-	-	2,569,813
Other assets	296,142	249	558	296,949
Total assets	4,605,056	69,708	83,163	4,757,927
<i>Liabilities</i>				
Customer deposits	3,063,663	10,903	19,331	3,093,897
Borrowed funds	361,805	-	-	361,805
Other liabilities	292,013	1,389	5,831	299,233
Total liabilities	3,717,480	12,292	25,162	3,754,935
Net financial position	887,576	57,416	58,000	1,002,992
31 December 2024				
<i>Assets</i>				
Cash and cash equivalents	(44,847)	40,062	98,102	93,317
Loans and advances to customers	1,428,412	30,805	1	1,459,218
Investment in government securities	1,945,701	-	-	1,945,701
Other assets	30,749	139	434	31,322
Total assets	3,360,015	71,006	98,537	3,529,558
<i>Liabilities</i>				
Customer deposits	2,131,124	13,612	5,793	2,150,529
Borrowed funds	892,287	-	-	892,287
Other liabilities	393,552	56,697	91,687	541,936
Total liabilities	3,416,963	70,309	97,480	3,584,752
Net financial position	(56,948)	697	1,057	(55,194)

Notes (continued)

4 Financial risk management (continued)

(c) Market risk (continued)

The following significant exchange rates applied during the period:

	Average rates	Closing rates	Average rates	Closing rates
	2025	2025	2024	2024
US Dollar	129.30	129.01	134.70	129.25
EUR	146.06	151.43	145.83	134.68
GBP	170.41	173.65	172.18	162.45

Sensitivity analysis on exchange rates

The analysis below calculates the effect of a reasonably possible movement of the foreign currency rates against the Kenya Shilling (all other variables being constant) on the Bank's profit or loss and equity. A 10% strengthening or weakening of the currencies below will result into an increase/decrease in the Bank's profit or loss and equity as shown below:

		2025		2024	
	Change in currency	Effect on profit before income tax Shs' 000	Effect on equity Shs' 000	Change in currency	Effect on profit before income tax Shs' 000
US\$	10%	1,215	850	10%	(5,694)
GBP	10%	9,841	6,888	10%	70
EURO	10%	(8,433)	(5,903)	10%	106
					Effect on equity Shs' 000
					(3,986)
					49
					74

The Company does not have foreign currency denominated balances; as such it is not exposed for foreign currency exchange risk.

(ii) *Sensitivity analysis to interest rate risk*

The following table sets out the components of the Group's financial instruments subject to interest rate risk:

Assets	Interest rate	2025 Shs'000	2024 Shs'000
Loans and advances	11.0%	41,107,862	38,861,015
Government securities	12.1%	28,267,302	16,970,061
Placements with banks	7.5%	7,057	1,066,290
Total liquidity reserves		69,382,221	56,897,366
Liabilities			
Deposits	4.9%	55,874,371	47,470,795
Deposits from local Banks	7.5%	1,022,568	388,106
Borrowings and income notes	9.3%	3,601,847	2,743,820
Lease liabilities	12.2%	179,330	192,819
Total liquidity reserves		60,678,116	50,795,540
Interest rate sensitivity gap		8,704,105	6,101,826

Notes (continued)

4 Financial risk management (continued)

(c) Market risk (continued)

A summary of the Group's interest rate gap position on non-trading portfolios is as follows:

Interest rate risk table

	Carrying amount Shs'000	Non-interest bearing Shs'000	Less than 3 months Shs'000	3-6 months Shs'000	6-12 months Shs'000	1-5 years Shs'000	More than 5 years Shs'000
31 December 2025							
<i>Assets</i>							
Cash balances and deposits in financial institutions	2,289,327	2,282,270	-	-	7,057	-	-
Loans and advances	41,107,862	-	3,564,047	2,109,699	3,765,792	22,606,418	9,061,906
Investment in government securities	28,267,302	-	733,257	1,160,218	1,067,956	3,690,662	21,615,209
Other assets	2,085,314	2,085,314					
Total financial assets	73,749,805	4,367,584	4,297,304	3,269,917	4,840,805	26,297,080	30,677,115
<i>Liabilities</i>							
Deposits from customers	55,874,371	25,338,913	17,430,875	8,145,329	4,367,283	419,129	172,842
Deposits from banks	1,022,568	-	1,022,568	-	-	-	-
Borrowings	3,601,847	-	75,881	506,951	256,495	1,165,779	1,596,741
Lease liabilities	179,330	-	18,251	25,752	16,835	112,555	5,937
Other liabilities	4,046,695	4,046,695					
Total financial liabilities	64,724,811	29,385,608	18,547,575	8,678,032	4,640,613	1,697,463	1,775,520
Interest rate sensitivity gap	9,024,994	(25,018,024)	(14,250,271)	(5,408,115)	200,192	24,599,617	28,901,595

Notes (continued)

4 Financial risk management (continued)

(c) Market risk (continued)

Interest rate risk table (continued)

	Carrying amount Shs'000	Non-interest bearing Shs'000	Less than 3 months Shs'000	3-6 months Shs'000	6-12 months Shs'000	1-5 years Shs'000	More than 5 years Shs'000
31 December 2024							
<i>Assets</i>							
Cash balances and deposits in financial institutions	3,644,987	2,578,697	900,000	166,290	-	-	-
Loans and advances to customers	38,861,015	-	2,564,500	1,924,786	2,505,753	23,069,377	8,796,599
Investment in government securities	16,970,061	-	1,290,000	1,060,000	1,323,000	3,804,600	9,492,461
Other assets	1,820,847	1,820,847	-	-	-	-	-
Total financial assets	61,296,910	4,399,544	4,754,500	3,151,076	3,828,753	26,873,977	18,289,060
<i>Liabilities</i>							
Deposits from customers	47,470,795	21,327,803	15,766,537	5,697,196	3,291,337	973,098	414,824
Deposits from banks	388,105	-	388,105	-	-	-	-
Borrowings	2,743,820	-	46,713	317,228	159,812	918,859	1,301,208
Lease liabilities	192,819	-	20,231	27,592	18,038	120,597	6,361
Other liabilities	3,730,923	3,730,923	-	-	-	-	-
Total financial liabilities	54,526,462	25,058,726	16,221,586	6,042,016	3,469,187	2,012,554	1,722,393
Interest rate sensitivity gap	6,770,448	(20,659,182)	(11,467,086)	(2,890,940)	359,566	24,861,423	16,566,667

Notes (continued)

4 Financial risk management (continued)

(c) Market risk (continued)

At 31 December 2025, if interest rates at that date had been 50 basis points higher for assets and 100 basis points higher for liabilities with all other variables held constant, pre-tax profit for the year would have been Shs 138,687,043 (2024: Shs 330,156,000) lower arising mainly as a result of lower interest income and other components of equity

Interest Rate Risk Sensitivity Analysis (Effective Duration)

The Bank assesses interest rate risk using an effective duration approach based on full portfolio revaluation under a +100 basis points parallel shift in interest rates

Year	Market Value	Current MTM	Stressed MTM (+100bps)	MTM Shock Loss	Effective Duration after Stress Test (Years)
	Shs'000	Shs'000	Shs'000	Shs'000	
2024	13,640,839	226,547	(261,168)	(487,715)	3.6
2025	24,490,703	1,143,507	(354,237)	(1,497,744)	6.0

The Bank assessed interest rate risk by applying a +100 basis points (1%) increase in market interest rates and measuring the resulting change in portfolio value.

As at 31st December 2025, the portfolio recorded a valuation decline of Kes 1,497,744,000, implying an effective duration of 6.0 years, compared to a valuation decline of Kes 487,714,810 and an effective duration of 3.6 years as at 31st December 2024.

The increase in interest rate risk is driven by portfolio growth, with market value rising from Kes 13,640,838,738 in December 2024 to Kes 24,490,703,102 in December 2025, and a higher allocation to longer-term instruments such as FXD and IFB.

These valuation changes are recorded in Other Comprehensive Income (OCI) and therefore do not impact reported profits. The portfolio remains within the Bank's risk appetite and modified duration limit of 6 years, while the stress test provides valuable insight for risk management and monitoring under adverse market conditions.

(d) Operational risk

The Group's objective is to manage operational risk so as to balance the avoidance of financial losses and damage to the Group's reputation with overall cost effectiveness and to avoid control procedures that restrict initiative and creativity.

The primary responsibility for the development and implementation of controls to address operational risk is assigned to senior management within each business unit. The responsibility is supported by the development of overall Group standards for the management of operational risks. Compliance with Group standards is supported by a programme of periodic reviews undertaken by internal audit. The results of internal audit reviews are discussed with the management of the business unit to which they relate, with summaries submitted to the Board Audit committee and senior management of the Group.

Notes (continued)

4 Financial risk management (continued)

(d) Operational risk (continued)

Risk measurement and control

Interest rate, credit, liquidity, operational risk and other risks are actively managed by the Group's independent risk control to ensure compliance with the Group's risk limits. The Group's risk limits are assessed regularly to ensure their appropriateness given the Group's objectives and strategies and current market conditions.

(e) Capital management

The responsibility of capital management lies with the assets and liabilities management committee which ensures that all strategies conform to the Group's risk appetite and levels of exposure. The committee is also responsible for recommending to the Board of directors, prudent capital management policies and procedures that will enable the Group to achieve its objectives and goals while operating in full compliance with all capital requirements.

The Central Bank of Kenya sets and monitors capital requirements for banks and other non-bank financial institutions. In implementing the current capital requirements Central Bank of Kenya requires the Group to maintain a prescribed ratio of total risk weighted assets. This requirement is calculated for market risk in the banking portfolio of HFC Limited.

The regulatory capital is analysed in two tiers:

- Tier 1 capital includes ordinary share capital, share premium, perpetual bonds, retained earnings, translation reserve and non-controlling interest after deduction of goodwill and intangible assets and other regulatory adjustments relating to items that are included in equity but are treated differently for capital adequacy purposes.
- Tier 2 capital includes qualifying subordinated liabilities, collective impairment allowances and the element of the fair value reserves relating to unrealized gains on equity instruments classified as available for sale.

The Group's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business. The impact of the level of capital on shareholders' return is also recognised and the Group recognizes the need to maintain a balance between the higher returns that might be possible with greater gearing and the advantages and security afforded by a sound capital position.

The Group and its individually regulated operations have complied with all externally imposed capital requirements throughout the year except for core and total capital ratio

Notes (continued)

4 Financial risk management (continued)

(e) Capital management (continued)

The regulatory capital position for HFC Limited, the Group's banking subsidiary, as at 31 December 2025 was as follows:

Tier 1 capital	2025 Shs'000	2024 Shs'000
Ordinary share capital	10,820,000	10,820,000
Share premium	3,513,662	3,513,662
Accumulated losses	(3,935,840)	(5,115,436)
Deferred income tax asset	(248,835)	(550,957)
Total tier 1 capital	10,148,987	8,667,269
Tier 2 capital		
Revaluation reserve (25%)	105,000	105,000
Subordinated debt	467,417	667,417
Regulatory reserves	581,110	506,338
Total tier 2 capital	1,153,527	1,278,755
Total regulatory capital	11,302,514	9,946,024
Risk weighted assets	46,488,796	40,507,073
Capital ratios	2025	2024
Total regulatory capital expressed as a percentage of total risk-weighted assets	24.31%	24.6%
CBK minimum requirement	14.50%	14.50%
Total tier 1 capital expressed as a percentage of risk-weighted assets	21.83%	21.4%
CBK minimum requirement	10.50%	10.50%

Central Bank of Kenya required the Group to maintain a minimum core capital of Shs 3 billion as at 31 December 2025. The Group is compliant with this requirement. The Central Bank of Kenya has further communicated a revised minimum core capital requirement of Shs 10 billion to be met by 2029. As at 31 December 2025, the Bank's core capital already exceeds this forthcoming regulatory threshold.

The Group's objectives when managing capital are to safeguard the Group's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the Group may limit the amount of dividends paid to shareholders.

Notes (continued)

4 Financial risk management (continued)

(f) Fair value measurement

The fair value of financial instruments is included at the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, or in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk. The fair value of cash and cash equivalents, loans and advances, customer deposits and borrowed funds are evaluated by the Group based on parameters such as interest rates, specific country factors and individual creditworthiness of the customer. The valuation is performed on a discounted cash flow basis. Based on this evaluation, allowances are taken to account for the expected losses of the receivables.

The following methods and assumptions were used to estimate the fair values. The fair values of the quoted bonds are based on price quotations at the reporting date. The fair values of loans and advances, borrowings and other financial liabilities, are estimated by discounting future cash flows using rates currently available for debt on similar terms, credit risk and remaining maturities. The fair values of remaining FVOCI financial assets are derived from quoted market prices in active markets. There have been no transfers between Level 1 and Level 2 during the year ended 31 December 2025 (2024: Nil).

The table below sets out the Bank's classification of each class of financial assets and liabilities, their amortised cost and fair values including accrued interest:

31 December 2025	FVTPL	FVOCI	At amortised cost	Total carrying amount
	Shs'000	Shs'000	Shs'000	Shs'000
Financial assets				
Cash and cash equivalents	-	-	2,282,270	2,282,270
Placements with banks	-	-	7,057	7,057
Investment in Government securities	-	24,589,574	3,677,728	28,267,302
Loan and advances to customers	-	-	41,107,862	41,107,862
Derivatives	962,539	-	-	962,539
Other assets	-	-	2,085,314	2,085,314
	962,539	24,589,574	49,160,231	74,712,344
Financial liabilities				
Deposits from Banks	-	-	1,022,568	1,022,568
Customer deposits	-	-	55,874,371	55,874,371
Government of Kenya income notes	-	-	52,860	52,860
Borrowings	-	-	3,548,987	3,548,987
Derivative liabilities	946,776	-	-	946,776
Other liabilities	-	-	4,046,695	4,046,695
	946,776	-	64,545,481	65,492,257

Notes (continued)

4 Financial risk management (continued)

(f) Fair value measurement (continued)

31 December 2024	FVTPL	FVOCI	At amortised cost	Total
	Shs'000	Shs'000	Shs'000	Shs'000
Financial assets				
Cash and cash equivalents	-	-	2,578,697	2,578,697
Placements with banks	-	-	1,066,290	1,066,290
Investment in government securities	-	13,741,761	3,228,300	16,970,061
Loan and advances to customers	-	-	38,861,015	38,861,015
Derivatives	952,937	-	-	952,937
Other assets	-	-	1,820,847	1,820,847
	952,937	13,741,761	47,555,149	62,249,847
Financial liabilities				
Deposits from Banks	-	-	388,106	388,106
Customer deposits	-	-	47,470,795	47,470,795
Government of Kenya income notes	-	-	52,860	52,860
Borrowings	-	-	2,690,960	2,690,960
Derivative liabilities	937,140	-	-	937,140
Other liabilities	-	-	3,730,923	3,730,923
	937,140	-	54,333,644	55,270,784

Loans and advances to customers are net of provisions for impairment. A substantial proportion of loans and advances is subject to price adjustments and hence the fair value approximates their carrying amounts.

Valuation hierarchy

The valuation hierarchy, and types of instruments classified into each level within that hierarchy, is set out below:

	Level 1	Level 2	Level 3
Fair value determined using:	Unadjusted quoted prices in an active market for identical assets and liabilities	Valuation techniques that maximise the use of observable market data and rely as little as possible on entity-specific estimates.	Valuation models using significant unobservable market data
Types of financial assets:	Actively traded government and other securities.	Corporate and other government bonds and loans	Corporate bonds in illiquid markets
Types of financial liabilities:	Actively traded corporate bonds in liquid markets.	Leases whose valuation model references directly or indirectly market observable inputs.	Actively traded corporate bonds in illiquid markets.

Notes (continued)

4 Financial risk management (continued)

(f) Fair value measurement (continued)

Valuation hierarchy (continued)

The table below shows the classification of assets held at fair value by the level in the fair value hierarchy as at 31 December 2025:

31 December 2025	Level 1 Shs'000	Level 2 Shs'000	Level 3 Shs'000	Total Shs'000
<i>Financial assets</i>				
Investment in government securities	-	24,589,574	-	24,589,574
Derivative assets	-	962,539	-	962,539
<i>Non-financial assets</i>				
Investment properties	-	-	1,905,000	1,905,000
	-	25,552,113	1,905,000	27,457,113
<i>Financial liabilities</i>				
Derivative liabilities	-	946,776	-	946,776
	-	946,776	-	946,776
31 December 2024	Level 1 Shs'000	Level 2 Shs'000	Level 3 Shs'000	Total Shs'000
<i>Financial assets</i>				
Investment in government securities	-	13,741,761	-	13,741,761
Derivative assets	-	952,937	-	952,937
<i>Non-financial assets</i>				
Investment properties	-	-	1,905,000	1,905,000
	-	14,694,698	1,905,000	16,599,698
<i>Financial liabilities</i>				
Derivative liabilities	-	937,140	-	937,140
	-	937,140	-	937,140

Notes (continued)

4 Financial risk management (continued)

(f) Fair value measurement (continued)

Valuation hierarchy (continued)

The income approach is used in valuing investment property. The market value of such property is mainly based on the property's anticipated income (rent) from the perspective of a prudent investor. The rate is obtained by analysing actual and prudent property sales and rental incomes. This has also been closely compared with the recent trends in the market where such rental spaces are sold as small office suites.

5 Operating segments

The Group offers its services through various business segments, each business unit (entity) is reviewed separately for decision making.

- The HF Bancassurance Intermediary (formerly HF Insurance Agency Limited) – offers insurance solutions to both HF customer base and currently reaching out to the general public and partnering with underwriters on different bancassurance solutions including general and life insurance.
- HF Development and Investment Limited – (formerly known as Kenya Building Society Limited) was previously a property development company. The current entity strategy is providing wealth management solutions, affordable housing partnership and property advisory and sales services.
- Retail Banking- This segment encompasses branch-based Business tailored for individual customers and small businesses.
- Corporate Banking- This comprises of Treasury, Custodial and Financial institutions business, serving the financial needs of larger corporate clients, institutions, and government entities.

Notes (continued)

5 Operating segments (continued)

Statement of financial position

For the year ended 31 December 2025

	Banking	Property Development	Bancassur ance	Others	Eliminatio n	Totals
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Interest income	7,813,256	-	9,885	897	(172,940)	7,651,098
Interest expense	(3,162,051)	(162,159)	(128)	-	172,940	(3,151,397)
Net interest income	4,651,205	(162,159)	9,757	897		4,499,701
Allowance for expected credit losses	(408,283)	-	-	-	-	(408,283)
Net fees and commission income	322,545	468,435	-	-	-	790,980
Other income	349,162	742,737	164,775	149,339	(163,399)	1,242,614
Operating expenses	(3,706,555)	(708,751)	(92,994)	(170,626)	163,399	(4,515,527)
Profit before tax	1,208,074	340,262	81,538	(20,390)	-	1,609,485

For the year ended 31 December 2024

	Banking	Property Development	Bancassur ance	Others	Eliminatio n	Totals
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Interest income	6,608,694	-	6,211	909	(60,465)	6,555,349
Interest expense	(3,750,982)	(53,347)	(209)	-	60,465	(3,744,073)
Net interest income	2,857,712	(53,347)	6,002	909		2,811,276
Allowance for expected credit losses	(364,460)	-	-	-	-	(364,460)
Net fees and commission income	196,775	-	-	-	-	196,775
Other income	331,670	666,884	123,321	109,961	(117,537)	1,114,299
Operating expenses	(2,807,301)	(360,147)	(64,046)	(183,940)	117,537	(3,297,897)
Profit before tax	214,396	253,390	65,277	(73,070)	-	459,993

Notes (continued)

5 Operating segments (continued)

Statement of profit or loss

For the year ended 31 December 2025

31-Dec-25	Banking Shs'000	Property Development Shs'000	Bancass urance Shs'000	Others Shs'000	Elimination Shs'000	Totals Shs'000
Cash and cash equivalents	2,289,327	155,896	93,440	25,770	(275,106)	2,289,327
Loans and advances	41,901,454	-	-	-	(793,592)	41,107,862
Other assets	36,254,275	4,455,169	170,624	15,737,175	(16,668,266)	39,948,977
Total Assets	80,445,056	4,611,065	264,064	15,762,945	(17,736,964)	83,346,166
Customer deposits	57,172,045	-	-	-	(275,106)	56,896,939
Borrowed funds	3,601,847	871,881	-	-	(871,881)	3,601,847
Other liabilities	3,223,195	2,455,668	94,315	402,254	(1,002,385)	5,173,047
Shareholder's funds	16,447,969	1,283,516	169,748	15,360,692	(15,587,592)	17,674,333
Total liabilities and shareholder's funds	80,445,056	4,611,065	264,063	15,762,946	(17,736,964)	83,346,166

For the year ended 31 December 2024

31-Dec-24	Banking Shs'000	Property Development Shs'000	Bancass urance Shs'000	Others Shs'000	Elimination Shs'000	Totals Shs'000
Cash and cash equivalents	3,644,987	155,896	93,440	25,770	(412,490)	3,507,603
Loans and advances	39,797,555	-	-	-	(936,540)	38,861,015
Other assets	25,055,325	4,074,499	102,354	15,952,913	(16,469,246)	28,715,845
Total Assets	68,497,867	4,230,395	195,793	15,978,683	(17,817,817)	71,084,922
Customer deposits	48,271,391	-	-	-	(412,490)	47,858,901
Borrowed funds	2,743,820	946,130	-	-	(946,130)	2,743,820
Other liabilities	2,688,172	2,378,578	72,895	593,986	(871,600)	4,862,031
Shareholder's funds	14,794,484	905,688	122,898	15,384,697	(15,587,597)	15,620,170
Total liabilities and shareholder's funds	68,497,867	4,230,396	195,793	15,978,683	(17,817,817)	71,084,922

Notes (continued)

6 Interest income and expense

(a) Interest income

	Group		Company	
	2025	2024	2025	2024
	Shs'000	Shs'000	Shs'000	Shs'000
Loans and advances	4,766,065	4,914,481	-	-
Deposit with banks	58,361	57,776	-	-
Financial assets at amortised cost/FVOCI	2,826,672	1,583,091	-	-
	7,651,098	6,555,348	-	-

(b) Interest expense

Deposits from customers	2,761,114	2,937,070	-	-
Deposits from banks	59,524	91,384	-	-
Repurchase agreement with CBK	-	356,259	-	-
Borrowings	311,480	335,748	-	-
Lease liabilities	19,279	23,611	-	-
	3,151,397	3,744,072	-	-

7 (a) Fee and commission income

Fees and commissions charged for services provided or received by the Group and Company are recognised as the service is performed.

	Group		Company	
	2025	2024	2025	2024
	Shs'000	Shs'000	Shs'000	Shs'000
Service fees and commission /transactional banking**	238,846	184,505	-	-
Custodial services	144,858	81,046	-	-
Other commissions*	468,435	276,772	-	-
	852,139	542,323	-	-

*Other commissions majorly consist of commission on house and plot sales from HFDI.

**The service fees largely relate to fees earned from transactions with customers and commissions charged on facilitation of remittances.

Notes (continued)

7 (b) Fee and commission expense

	Group		Company	
	2025	2024	2025	2024
	Shs'000	Shs'000	Shs'000	Shs'000
Fees and commission expense	61,159	68,776	-	-
	61,159	68,776	-	-

8 Net trading income

Foreign currency exchange gains	243,227	211,400	-	-
Fair value gain on derivatives(Note 37)	15,763	15,797	-	-
	258,990	227,197	-	-

9 Other income

	Group		Company	
	2025	2024	2025	2024
	Shs'000	Shs'000	Shs'000	Shs'000
Rental income	94,541	86,893	-	-
Sales income	347,866	58,518	-	-
Other income *	333,368	349,979	149,339	109,961
Insurance commission	82,417	73,110	-	-
	858,192	568,500	149,339	109,961

* Other income includes project management fees and commissions, Bancassurance profit share as well as gains on disposal of property plant and equipment.

Notes (continued)

10 Other operating expenses

	Group		Company	
	2025	2024	2025	2024
	Shs'000	Shs'000	Shs'000	Shs'000
Deposit protection fund	90,786	86,985	-	-
Cost of sales Theta plots	299,351	43,482	-	-
Marketing expenses	289,257	148,072	14,126	61,571
Information technology expenses	351,846	355,311	-	-
Legal expenses	98,447	38,754	-	-
Office expenses	113,016	130,862	4,485	5,316
Auditor remuneration	23,225	23,715	1,669	2,029
General administration expenses	711,042	339,336	36,002	20,160
	1,976,970	1,166,517	56,282	89,076

11 Employee benefits

The following items are included in salaries and employee benefits:

	Group		Company	
	2025	2024	2025	2024
	Shs'000	Shs'000	Shs'000	Shs'000
Salaries and other staff costs	2,084,084	1,681,109	60,119	50,262
Remuneration to executive directors	84,036	95,627	51,632	42,918
NSSF contributions	29,033	13,889	99	49
Contributions to the defined contribution retirement scheme	95,124	85,106	-	507
Contributions to housing levy	26,129	18,544	-	700
	2,318,406	1,894,275	111,850	94,436
Average number of employees	817	634	2	2

12 Depreciation and amortisation

	Group		Company	
	2025	2024	2025	2024
	Shs'000	Shs'000	Shs'000	Shs'000
Depreciation of property and equipment (Note 19)	84,806	84,211	1,651	242
Amortisation of intangible assets (Note 20)	68,319	77,443	-	-
Amortisation of right-of-use asset (Note 35)	67,025	76,864	-	-
	220,150	238,518	1,651	242

Notes (continued)

13 Income tax

(a) Income tax credit

The tax on the Group's and Company's loss before income tax differs from the theoretical amount using the basic tax rate as follows:

	Group		Company	
	2025	2024	2025	2024
	Shs'000	Shs'000	Shs'000	Shs'000
Profit /(loss) before income tax	1,609,485	459,993	(20,444)	(73,793)
Tax at the applicable tax rate of 30% (2024: 30%)	482,846	137,998	-	-
Tax effect of non-chargeable income	(418,245)	(246,325)	(3,347)	(18,438)
Tax effect of non-deductible costs	122,592	43,635	-	-
Income tax expense/ (credit)	187,193	(64,692)	3,347	(18,438)
Current income tax at 30% (2024: 30%)	38,544	31,955	-	-
Deferred tax movement (Note 26)	149,766	(96,647)	4,464	(18,438)
Prior year deferred tax over provision (Note 26)	(1,117)	-	(1,117)	-
	187,193	(64,692)	3,347	(18,438)

(b) Current income tax recoverable

At start of year	372,751	367,255	59,657	57,486
Charge for the year	(38,544)	(31,955)	-	-
Paid during the year	31,086	37,451	(194)	2,171
At end of year	365,293	372,751	59,463	59,657

Notes (continued)

14 Earnings per share

Basic earnings per share is calculated based on the loss attributable to shareholders divided by the number of ordinary shares in issue in each year as follows:

	2025 Shs'000	2024 Shs'000
Net profit for the year attributable to shareholders	1,422,292	524,685
Number of ordinary shares in issue (000's)	1,885,488	1,885,488
Weighted average number of ordinary shares (000's)	1,885,488	582,429
Basic earnings per share	0.75	0.90
Diluted earnings per share	0.75	0.90

15 Dividends

(a) Proposed dividends

Proposed dividends are accounted for as a separate component of equity until they have been ratified at an annual general meeting. No dividend in respect of the year ended 31 December 2025 (2024: Nil) has been proposed.

(b) Reconciliation of dividends payable – Group and Company:

	2025 Shs'000	2024 Shs'000
At start of year	246	246
Dividends paid during the year	-	-
At end of year	246	246

16 (a) Cash and balances with banks

	Group		Company	
	2025 Shs'000	2024 Shs'000	2025 Shs'000	2024 Shs'000
Cash at hand	485,329	678,473	-	-
Balances with commercial banks	127,757	478,454	25,059	250,753
Placements with other banks (Note 17)	7,057	1,066,290	-	-
Balances with Central Bank of Kenya:				
Cash reserve with Central Bank of Kenya (CRR)	1,669,293	1,421,885	-	-
	2,289,436	3,645,102	25,059	250,753

Notes (continued)

16 (a) Cash and balances with banks (continued)

	Group		Company	
	2025	2024	2025	2024
	Shs'000	Shs'000	Shs'000	Shs'000
12-month ECL:				
At start of year	115	80	17	-
Re-measurement during the year	(6)	35	-	17
Allowance for impairment losses	109	115	17	17
	2,289,327	3,644,987	25,042	250,736
Cash and balances with banks	2,282,270	2,578,697	25,042	250,736
Placement with other banks	7,057	1,066,290	-	-
	2,289,327	3,644,987	25,042	250,736

The group cash and cash equivalents subject to credit risk is broken down as follows:

Balances and deposits due from financial institutions*

Balances with Central Bank of Kenya	1,669,293	1,421,885
Placement with other banks	7,057	1,066,290
Other balances with banks	127,648	478,339
	1,803,998	2,966,514

The Cash Reserve Ratio (CRR) is non-interest earning and is based on the value of deposits as adjusted for the Central Bank of Kenya requirements. At 31 December 2025, the Cash Reserve Ratio was 3.25% (2024: 3.25%) of all deposits.

16(b) Restatement of presentation of cashflow on cash and cash equivalents

In prior periods, the Group excluded Cash Reserve Ratio (CRR) balances held with the Central Bank of Kenya from cash and cash equivalents in the statement of cash flows. During the current period, the Group reassessed this presentation in light of the requirements of IAS 7, as well as recent industry guidance issued by ICPAK to enhance consistency in practice within the banking sector.

Following this reassessment, the Group concluded that CRR balances meet the definition of cash, as they are demand deposits accessible on demand, with restrictions relating to their use rather than their accessibility. Accordingly, the comparative statement of cash flows has been restated to reflect this refined presentation.

Notes (continued)

16(b) Restatement of presentation of cashflow on cash and cash equivalents (continued)

	2024	Restatement	2024
	Shs'000	Shs' millions	Restated
			Shs'000
Movement in restricted cash	53,455	1,421,885	1,475,340
Net cash from operating activities	(3,256,873)	1,421,885	(1,834,988)
Net cash from investing activities	(451,324)	-	(451,324)
Net cash from financing activities	4,654,178	-	4,654,178
Net increase in cash and cash equivalents	945,981	1,421,885	2,367,866
Cash and cash equivalents at the end of the year	2,223,102	1,421,885	3,644,987

17 Placements with other banks

	Group	2024
	2025	Shs'000
	Shs'000	
Placements with other banks	7,144	1,066,655
Less: Allowance for impairment losses	(87)	(365)
	7,057	1,066,290

The weighted average effective interest rate on placements with other banks was 9.26% (2024: 13.52%).

18 Investment in government securities

	Group	2024
	2025	Shs'000
	Shs'000	
Held at amortised cost		
Treasury bills and bonds	3,677,728	3,228,300
FVOCI		
Treasury bonds	24,589,574	13,741,761
	28,267,302	16,970,061

The weighted average effective interest rate on government securities at 31 December was 12.80% (2024: 13.23%).

Notes (continued)

18 Investment in government securities (continued)

The table below shows the movement in the investments in the year:

Held at amortised cost

	Group 2025 Shs'000	2024 Shs'000
At start of year	3,235,322	4,044,852
Purchases during the year	847,450	20,000
Sales/Maturities during the year	(399,837)	(829,530)
Re- measurement during the year	(5,207)	(7,022)
At end of year	3,677,728	3,228,300

Fair value through other comprehensive income (FVOCI)

At start of year	13,771,435	5,645,273
Purchases during the year	72,513,470	30,426,413
Sales/maturities during the year	(62,577,652)	(22,988,047)
Gain/(loss) on fair valuation (Note 31)	916,959	687,796
Re- measurement during the year	(34,638)	(29,674)
At end of year	24,589,574	13,741,761

Total government securities

28,307,147 17,006,757

Less 12 months ECL

At start of year	(36,696)	(7,984)
Re-measurement during the year	(3,149)	(28,712)
At end of year	(39,845)	(36,696)

Total government securities net ECL

28,267,302 16,970,061

Maturity analysis for the investments in government securities

Maturing within 90 days	733,257	1,290,000
Maturing after 90 days	27,534,045	15,680,061
	28,267,302	16,970,061

Notes (continued)

19 Property and equipment

(a) Group	Freehold land	Leasehold land	Buildings	Furniture, fixtures, equipment & motor vehicles	Total
Year ended 31 December 2025	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Cost or valuation					
At start of year	62,000	180,000	380,000	1,544,431	2,166,431
Additions	-	-	-	363,284	363,284
Disposals				(1,972)	(1,972)
At end of year	62,000	180,000	380,000	1,905,743	2,527,743
Accumulated depreciation					
At start of year	-	6,310	34,008	1,253,567	1,293,885
Charge for the year	-	-	10,233	74,573	84,806
At end of year	-	6,310	44,241	1,328,140	1,378,691
Net book value at end of year	62,000	173,690	335,759	577,603	1,149,052

Notes (continued)

19 Property and equipment (continued)

(b) Group (continued)	Freehold land	Leasehold land	Buildings	Furniture, fixtures, equipment & motor vehicles	Work in progress	Total
Year ended 31 December 2024	Shs'000	Shs'000	Shs'000	Shs'000		Shs'000
Cost or valuation						
At start of year	62,000	180,000	380,000	1,380,309	-	2,002,309
Additions	-	-	-	159,936	6,960	166,896
Disposals	-	-	-	(2,774)	-	(2,774)
Valuation gain						
At end of year	62,000	180,000	380,000	1,537,471	6,960	2,166,431
Accumulated depreciation						
At start of year	-	6,310	23,775	1,179,589	-	1,209,674
Charge for the year	-	-	10,233	73,978	-	84,211
At end of year	-	6,310	34,008	1,253,567	-	1,293,885
Net book value at end of year	62,000	173,690	345,992	283,904	6,960	872,546

Notes (continued)

19 Property and equipment (continued)

The buildings were revalued as at 31 December 2025 by Centenary Valuers Limited, a firm of independent professional valuers based on open market value approach. The net book value of properties at their historical cost is as follows:

	2025 Shs'000	2024 Shs'000
Free hold land	52,000	52,000
Buildings	330,000	330,000
	382,000	382,000

(b) Company

	Furniture, fixtures, equipment & motor vehicles	
	2025 Shs'000	2024 Shs'000
Cost or valuation		
At start of year	1,927	1,727
Additions	7,233	200
At end of year	9,160	1,927
Accumulated depreciation		
At start of year	1,242	1,000
Charge for the year	1,651	242
At end of year	2,893	1,242
Net book value at end of year	6,267	685

Notes (continued)

20 Intangible assets

	Group	
	2025	2024
	Shs'000	Shs'000
Cost:		
At start of year	2,235,188	2,119,324
Additions during the year	101,262	89,531
Work in progress	144,756	26,333
At end of year	2,481,206	2,235,188
Accumulated amortisation		
At start of year	1,918,870	1,841,427
Amortisation during the year	68,319	77,443
At end of year	1,987,189	1,918,870
Net book value at end of year	494,017	316,318

21 Investments in subsidiary companies and ventures

(a) Subsidiaries

		Company	
		2025	2024
		Shs'000	Shs'000
HFC Limited	100%	14,333,662	14,333,662
HF Development and Investment Limited (HFDI)	100%	1,243,912	1,243,912
First Permanent (East Africa) Limited (FPEAL)	100%	5,020	5,020
HF Insurance Agency Limited (HFIA)	100%	5,000	5,000
		15,587,594	15,587,594

An impairment assessment was conducted on the investments in subsidiaries and no impairment was identified. All the above investee companies are profitable, have adequate liquidity and with no regulatory breaches.

Notes (continued)

21 Investments in subsidiary companies (continued)

(b) Investment in Joint ventures & associate

		Group	
		2025 Shs'000	2024 Shs'000
Kahawa Downs Limited	50%	100,111	103,155
Precious Heights Limited	50%	90,753	87,815
Richland Development Limited	50%	130,004	101,572
Claycity Limited	33%	488,972	483,144
Theta Dam Estate Limited	50%	1,018,618	892,677
At end of year		1,828,458	1,668,363
Group's share of profit in joint ventures			
Kahawa Downs Limited	50%	(131)	(97)
Precious Heights Limited	50%	25	1,509
Richland Development Limited	50%	(111)	163
Claycity Limited	33%	(293)	(485)
Theta Dam Estate Limited	50%	125,941	22,153
		125,431	23,243

Notes (continued)

21 Investment In subsidiary companies (continued)

(b) Investment in joint ventures & associate (continued)

The following are summarized financial information for Kahawa Downs Limited, Precious Heights Limited, Richland Development Limited, Claycity Limited and Theta Dam Estate Limited based on their financial statements prepared in accordance with IFRS Accounting Standards.

Group	Kahawa Development Limited Shs'000	Precious Heights Limited Shs'000	Richland Development Limited Shs'000	Claycity Limited Shs'000	Theta Dam Estate Limited Shs'000	Total Shs'000
Year ended 31 December 2025						
% Holding	50%	50%	50%	33%	50%	
Revenue	-	1,635	415	105	311,092	313,247
Operating costs	(262)	(1,585)	(637)	(993)	(36,577)	(40,054)
Income tax expense	-	-	-	-	(22,633)	(22,633)
(Loss)/profit and other comprehensive income	(262)	50	(222)	(888)	251,882	250,560
Group share of net (loss)/profit	(131)	25	(111)	(293)	125,941	125,431
Net assets	(262)	50	(222)	(888)	251,882	250,560
Groups share of net assets	(131)	25	(111)	(293)	125,941	125,431
Group's interest in net assets at the beginning of the year	100,242	90,728	101,572	483,144	892,677	1,668,363
Group share of current year total comprehensive income/(loss)	(131)	25	(111)	(293)	125,941	125,431
Impairment writeback	-	-	28,543	6,121	-	34,664
Carrying amount of interest in investee at end of year	100,111	90,753	130,004	488,972	1,018,618	1,828,458

Notes (continued)

21 Investments in subsidiary companies (continued)

(b) Investment in joint ventures & associate (continued)

Group	Kahawa Development Limited Shs'000	Precious Heights Limited Shs'000	Richland Development Limited Shs'000	Claycity Limited Shs'000	Theta Dam Estate Limited Shs'000	Total Shs'000
Year ended 31 December 2024						
% Holding	50%	50%	50%	33%	50%	
Revenue	20	5,787	470	2,530	251,316	260,123
Operating costs	(213)	(2,771)	(145)	(3,999)	(188,021)	(195,149)
Income tax expense					(18,989)	(18,989)
(Loss)/profit and other comprehensive income	(193)	3,016	325	(1,469)	44,306	45,985
Group share of net (loss)/profit	(97)	1,509	163	(485)	22,153	23,243
Net assets	206,310	175,634	203,140	1,464,074	1,785,354	3,834,512
Groups share of net assets	103,155	87,817	101,570	483,144	892,677	1,668,363
Group's interest in net assets at the beginning of the year	103,252	86,308	101,407	483,629	870,524	1,645,120
Group share of current year total comprehensive income	(97)	1,509	163	(485)	22,153	23,243
Carrying amount of interest in investee at end of year	103,155	87,817	101,570	483,144	892,677	1,668,363

Notes (continued)

22 Loans and advances

Group	2025 Shs'000	2024 Shs'000
Gross loans and advances to customers	45,551,880	42,847,468
Less: Provision for expected credit losses	(4,444,018)	(3,986,453)
Net loans and advances to customers	41,107,862	38,861,015
Current	9,439,538	7,931,579
Non-current portion	36,112,342	34,915,889
Gross loans and advances	45,551,880	42,847,468
Stage 1 loans	30,754,817	27,612,434
Stage 2 loans	3,733,986	3,270,559
Stage 3 loans	11,063,077	11,964,475
	45,551,880	42,847,468
Stage 1 impairment	(138,718)	(136,208)
Stage 2 impairment	(222,412)	(154,436)
Stage 3 impairment	(4,082,888)	(3,695,809)
	(4,444,018)	(3,986,453)
Net loans and advances	41,107,862	38,861,015

Notes (continued)

22 Loans and advances (continued)

Provision for expected credit losses on loans and advances

	Stage 1 12-month ECL	Stage 2 Lifetime ECL Not credit impaired	Stage 3 Lifetime ECL	Total
Year ended 31 December 2025	Shs'000	Shs'000	Shs'000	Shs'000
At start of the year	136,208	154,436	3,695,809	3,986,453
Movements during the year:				
Transfer to 12 months ECL	34,394	(30,007)	(4,387)	-
Transfer to lifetime ECL not credit impaired	(5,702)	58,837	(53,135)	-
Transfer to lifetime ECL credit impaired	(4,510)	(41,497)	46,007	-
Net remeasurement of loss allowance	(53,684)	31,488	557,980	535,784
Net financial assets originated	61,353	55,901	129,886	247,140
Financial assets derecognised	(29,341)	(6,746)	(289,272)	(325,359)
Loss allowance as at 31 December	138,718	222,412	4,082,888	4,444,018
Year ended 31 December 2024				
At start of the year	124,595	131,715	3,383,399	3,639,709
Movements during the year:				
Transfer to 12 months ECL	284,787	(84,025)	(200,762)	-
Transfer to lifetime ECL not credit impaired	(663)	269,630	(268,967)	-
Transfer to lifetime ECL credit impaired	(16)	(6,546)	6,562	-
Net remeasurement of loss allowance	(292,743)	(163,125)	1,032,377	576,509
Net financial assets originated	26,022	11,410	-	37,432
Financial assets derecognised	(5,774)	(4,623)	(256,800)	(267,197)
Loss allowance as at 31 December	136,208	154,436	3,695,809	3,986,453

Notes (continued)

22 Loans and advances (continued)

Year ended 31 December 2025	2025			Total Shs' 000
	Stage 1 Shs' 000	Stage 2 Shs' 000	Stage 3 Shs' 000	
Gross carrying amount at start of year	27,612,434	3,270,559	11,964,475	42,847,468
Transfer to 12 months ECL	879,185	(585,175)	(294,010)	-
Transfer to lifetime ECL not credit impaired	(1,130,963)	1,399,031	(268,068)	-
Transfer to lifetime ECL credit impaired	(432,210)	(705,118)	1,137,328	-
Net remeasurement	(2,545,272)	(12,068)	(964,955)	(3,522,295)
Net financial assets originated	10,474,546	745,099	353,001	11,572,646
Financial assets derecognised	(4,102,903)	(378,342)	(864,694)	(5,345,939)
Gross carrying amount at end of year	30,754,817	3,733,986	11,063,077	45,551,880
Year ended 31 December 2024	Shs' 000	Shs' 000	Shs' 000	Shs' 000
Gross carrying amount at start of year	27,817,660	3,790,128	10,819,714	42,427,502
Transfer to 12 months ECL	2,178,688	(1,670,739)	(507,949)	-
Transfer to lifetime ECL not credit impaired	(245,246)	1,678,542	(1,433,296)	-
Transfer to lifetime ECL credit impaired	(1,375)	(152,796)	154,171	-
Net remeasurement	(4,741,314)	(553,630)	3,342,989	(1,951,955)
Net financial assets originated	4,295,371	328,205		4,623,576
Financial assets derecognised	(1,691,350)	(149,151)	(162,735)	(2,003,236)
Write offs	-	-	(248,419)	(248,419)
Gross carrying amount at end of year	27,612,434	3,270,559	11,964,475	42,847,468

The weighted average effective interest rate on loan advances to customers as at 31 December 2025 was 11.92% (2024: 12.11%).

Notes (continued)

22 Loans and advances (continued)

Movements by segment

Year ended 31 December 2025

Movement Per Segment

	Mortgage				Projects			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Gross as at 1 Jan 2025	19,513,267	2,557,445	3,305,375	25,376,087	760,024	160,547	6,546,214	7,466,785
Transfer to Stage 1	618,704	(420,627)	(198,077)	-	87,506	-	(87,506)	-
Transfer to Stage 2	(662,614)	910,858	(248,244)	-	(50,869)	50,869	-	-
Transfer to Stage 3	(204,464)	(490,866)	695,330	-	-	(29,887)	29,887	-
Remeasurement	(336,373)	(3,904)	(3,060)	(343,337)	(793)	(4,200)	(2,000)	(6,993)
New loans originated	5,424,146	401,809	43,456	5,869,411	-	49,676	191,842	241,518
Loans derecognized/repaid	(3,412,457)	(524,067)	(494,106)	(4,430,630)	(114,365)	(132,828)	(607,556)	(854,749)
Gross as at 31 Dec 2025	20,940,209	2,430,648	3,100,674	26,471,531	681,503	94,177	6,070,881	6,846,561
Loan Allowance as at 1 Jan 2025	28,359	123,168	769,154	920,681	373	108	2,012,880	2,013,361
Transfer to Stage 1	9,864	(9,864)	-	-	-	-	-	-
Transfer to Stage 2	(1,098)	38,407	(37,309)	-	(13)	13	-	-
Transfer to Stage 3	(595)	(22,227)	22,822	-	-	(27)	27	-
Remeasurement	-	-	-	-	-	-	-	-
New loans originated	8,728	23,049	5,838	37,615	-	93	93,380	93,473
Loans derecognized/repaid	(18,574)	(59,424)	254,120	176,122	(112)	195	(52,890)	(52,807)
Loan Allowance as at 31 Dec 2025	26,684	93,109	1,014,625	1,134,418	248	382	2,053,397	2,054,027
Net Loans & Advances	20,913,525	2,337,539	2,086,049	25,337,113	681,255	93,795	4,017,484	4,792,534

Notes (continued)

22 Loans and advances (continued)

Movements by segment

Year ended 31 December 2025

Movement Per Segment

	Commercial				Unsecured			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Gross as at 1 Jan 2025	3,655,736	569,352	1,351,406	5,576,494	3,192,568	165,174	553,686	3,911,428
Transfer to Stage 1	124,358	(120,317)	(4,041)	-	48,616	(44,230)	(4,386)	-
Transfer to Stage 2	(517,947)	519,427	(1,480)	-	(114,424)	132,767	(18,343)	-
Transfer to Stage 3	(97,348)	(132,194)	229,542	-	(125,828)	(52,171)	177,999	-
Remeasurement	-	-	-	-	-	-	-	-
New loans originated	2,999,441	210,960	106,453	3,316,854	1,619,946	79,140	10,734	1,709,820
Loans derecognized/repaid	(1,264,049)	(105,536)	(496,181)	(1,865,766)	(1,045,572)	(25,042)	(25,254)	(1,095,868)
Gross as at 31 Dec 2025	4,900,191	941,692	1,185,699	7,027,582	3,575,306	255,638	694,436	4,525,380
				-				
Loan Allowance as at 1 Jan 2025	18,663	27,308	312,662	358,633	88,228	49,503	550,062	687,793
Transfer to Stage 1	6,002	(6,002)	-	-	18,528	(14,142)	(4,386)	-
Transfer to Stage 2	(3,075)	3,075	-	-	(3,197)	19,023	(15,826)	-
Transfer to Stage 3	(274)	(4,590)	4,864	-	(3,639)	(14,653)	18,292	-
Remeasurement	-	-	-	-	-	-	-	-
New loans originated	11,270	5,709	22,295	39,274	40,540	26,992	7,856	75,388
Loans derecognized/repaid	(10,128)	15,579	(18,946)	(13,495)	(51,945)	21,059	131,672	100,786
Loan Allowance as at 31 Dec 2025	22,458	41,079	320,875	384,412	88,515	87,782	687,670	863,967
Net Loans & Advances	5,671,325	900,613	864,824	7,436,762	3,486,791	167,856	6,766	3,661,413

Notes (continued)

22 Loans and advances (continued)

Movements by segment

Year ended 31 December 2025

Movement Per Segment

	Micro				IPF			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Gross as at 1 Jan 2025	443,312	5,676	-	448,988	60,692	1,590	5,405	67,687
Transfer to Stage 1	-	-	-	-	-	-	-	-
Transfer to Stage 2	(7,519)	7,519	-	-	(397)	397	-	-
Transfer to Stage 3	(4,396)	-	4,396	-	(174)	-	174	-
Remeasurement	-	-	-	-	-	-	-	-
New loans originated	449,584	495	-	450,079	124,375	3,018	516	127,909
Loans derecognized/repaid	(334,585)	(13,001)	(3,992)	(351,578)	(60,121)	(1,967)	(171)	(62,259)
Gross as at 31 Dec 2025	546,396	689	404	547,489	124,375	3,038	5,924	133,337
Loan Allowance as at 1 Jan 2025	77	-	-	77	509	9	5,390	5,908
Transfer to Stage 1	-	-	-	-	-	-	-	-
Transfer to Stage 2	(2)	2	-	-	(1)	1	-	-
Transfer to Stage 3	(1)	-	1	-	(1)	-	1	-
Remeasurement	-	-	-	-	-	-	-	-
New loans originated	-	-	-	-	815	58	516	1,389
Loans derecognized/repaid	(74)	(2)	402	326	(507)	(10)	11	(506)
Loan Allowance as at 31 Dec 2025	-	-	403	403	815	58	5,918	6,791
Net Loans & Advances	546,396	689	1	547,086	123,560	2,980	6	126,546

Notes (continued)

22 Loans and advances (continued)

Movements by segment

Year ended 31 December 2024

Movement Per Segment

	Mortgage				Projects			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Gross as at 1 Jan 2024	16,706,513	2,368,366	3,107,351	22,182,230	950,878	29,059	5,783,090	6,763,027
Transfer to Stage 1	269,213	(269,213)	-	-	-	-	-	-
Transfer to Stage 2	(1,014,061)	1,144,357	(130,296)	-	(29,059)	29,059	-	-
Transfer to Stage 3	(284,514)	(397,522)	682,036	-	-	(807,698)	807,698	-
Remeasurement	(391,874)	(3,904)	(3,060)	(398,838)	(793)	(4,200)	(2,000)	(6,993)
New loans originated	4,835,063	304,716	17,646	5,157,425	-	134,860	105,825	240,685
Loans derecognized/repaid	(607,073)	(589,355)	(368,302)	(1,564,730)	(161,002)	779,467	(148,399)	470,066
Gross as at 31 Dec 2024	19,513,267	2,557,445	3,305,375	25,376,087	760,024	160,547	6,546,214	7,466,785
Loan Allowance as at 1 Jan 2024	23,123	54,707	666,364	744,194	221	4	1,781,715	1,781,940
Transfer to Stage 1	4,859	(4,859)	-	-	-	-	-	-
Transfer to Stage 2	(1,270)	24,269	(22,999)	-	(4)	4	-	-
Transfer to Stage 3	(256)	(13,004)	13,260	-	-	(8,901)	8,901	-
Remeasurement	-	-	-	-	-	-	-	-
New loans originated	11,035	11,459	170	22,664	-	80	55,382	55,462
Loans derecognized/repaid	(9,132)	50,596	112,359	153,823	156	8,921	166,882	175,959
Loan Allowance as at 31 Dec 2024	28,359	123,168	769,154	920,681	373	108	2,012,880	2,013,361
Net Loans & Advances	19,484,908	2,434,277	2,536,221	24,455,406	759,651	160,439	4,533,334	5,453,424

Notes (continued)

22 Loans and advances (continued)

Movements by segment

Year ended 31 December 2024

Movement Per Segment

	Commercial				Unsecured			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Gross as at 1 Jan 2024	2,975,277	473,817	1,624,742	5,073,836	2,140,252	152,481	490,359	2,783,092
Transfer to Stage 1	9,776	(9,776)	-	-	14,684	(14,684)	-	-
Transfer to Stage 2	(300,384)	323,191	(22,807)	-	(98,085)	101,045	(2,960)	-
Transfer to Stage 3	(24,821)	(177,370)	202,191	-	(157,403)	(42,288)	199,691	-
Remeasurement	-	-	-	-	-	-	-	-
New loans originated	1,163,995	93,981	3,978	1,261,954	1,192,326	17,376	9,444	1,219,146
Loans derecognized/repaid	(168,107)	(134,491)	(456,698)	(759,296)	100,794	(48,756)	(142,848)	(90,810)
Gross as at 31 Dec 2024	3,655,736	569,352	1,351,406	5,576,494	3,192,568	165,174	553,686	3,911,428
Loan Allowance as at 1 Jan 2024	10,201	9,691	330,990	350,882	67,920	18,969	303,797	390,686
Transfer to Stage 1	591	(591)	-	-	3,613	(3,613)	-	-
Transfer to Stage 2	(706)	4,310	(3,604)	-	(3,050)	5,324	(2,275)	(1)
Transfer to Stage 3	(55)	(3,115)	3,170	-	(4,769)	(10,876)	15,645	-
Remeasurement	-	-	-	-	-	-	-	-
New loans originated	9,370	3,508	290	13,168	31,427	3,347	9,444	44,218
Loans derecognized/repaid	(738)	13,505	(18,184)	(5,417)	(6,913)	36,352	223,451	252,890
Loan Allowance as at 31 Dec 2024	18,663	27,308	312,662	358,633	88,228	49,503	550,062	687,793
Net Loans & Advances	4,573,613	542,044	1,038,744	6,154,401	3,104,340	115,671	3,624	3,223,635

Notes (continued)

22 Loans and advances (continued)

Movements by segment

Year ended 31 December 2024

Movement Per Segment

	Micro				IPF			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Gross as at 1 Jan 2024	73,559	2,517	-	76,076	176	-	4,957	5,133
Transfer to Stage 1	-	-	-	-	-	-	-	-
Transfer to Stage 2	(2,517)	2,517	-	-	-	-	-	-
Transfer to Stage 3	-	-	-	-	(500)	(4,450)	4,950	-
Remeasurement	-	-	-	-	-	-	-	-
New loans originated	392,139	3,330	-	395,469	60,553	1,590	44	62,187
Loans derecognized/repaid	(19,869)	(2,688)	-	(22,557)	463	4,450	(4,546)	367
Gross as at 31 Dec 2024	443,312	5,676	-	448,988	60,692	1,590	5,405	67,687
Loan Allowance as at 1 Jan 2024	10	-	-	10	-	-	43	43
Transfer to Stage 1	-	-	-	-	-	-	-	-
Transfer to Stage 2	-	-	-	-	-	-	-	-
Transfer to Stage 3	-	-	-	-	(3)	(33)	36	-
Remeasurement	-	-	-	-	-	-	-	-
New loans originated	73	-	-	73	509	9	43	561
Loans derecognized/repaid	(6)	-	-	(6)	3	33	5,268	5,304
Loan Allowance as at 31 Dec 2024	77	-	-	77	509	9	5,390	5,908
Net Loans & Advances	443,235	5,676	-	448,911	60,183	1,581	15	61,779

Notes (continued)

22 Loans and advances (continued)

Loss allowance on financial instruments

The following table provides a reconciliation between the 'impairment losses on financial instruments' line item in the statement of profit or loss and other comprehensive income

	Loans and advances to customers Shs'000	Guarantees and letters of credit Shs'000	Cash and Bank Balances Shs'000	Placements with other banks Shs'000	Other financial assets and receivables Shs'000	Investment in Government securities Shs'000	Total Shs'000
Year ended 31 December 2025							
Net re-measurement of loss allowance	535,784	20,522	(6)	(278)	40,424	3,149	599,595
New financial assets originated or purchased	247,140	-	-		-	-	247,140
Financial assets derecognized	(325,359)	-	-		-	-	(325,359)
Write-offs	(49,282)	-	-		-	-	(49,282)
	408,283	20,522	(6)	(278)	40,424	3,149	472,094
Year ended 31 December 2024							
Net re-measurement of loss allowance	576,509	(15,981)	35	357	(34,877)	28,712	554,755
New financial assets originated or purchased	37,432	-	-		-	-	37,432
Financial assets derecognized	(231,765)	-	-		-	-	(231,765)
Write offs	(17,716)	-	-		-	-	(17,716)
	364,460	(15,981)	35	357	(34,877)	28,712	342,706

Notes (continued)

22 Loans and advances (continued)

Analysis of loans per segment

Segment	2025			2024		
	Gross Shs'000	Loss allowance Shs'000	Carrying amount Shs'000	Gross Shs'000	Loss allowance Shs'000	Carrying amount Shs'000
Commercial	7,027,582	(384,412)	6,643,170	5,576,494	(358,633)	5,217,861
IPF	133,337	(6,791)	126,546	67,687	(5,908)	61,779
Micro	547,489	(403)	547,086	448,988	(77)	448,911
Mortgage	26,471,531	(1,134,418)	25,337,113	25,376,086	(920,681)	24,455,405
Projects	6,846,561	(2,054,027)	4,792,534	7,466,785	(2,013,361)	5,453,424
Unsecured	4,525,380	(863,967)	3,661,413	3,911,428	(687,793)	3,223,635
	45,551,880	(4,444,018)	41,107,862	42,847,468	(3,986,453)	38,861,015

Notes (continued)

23 Other assets

	Group 2025 Shs'000	2024 Shs'000	Company 2025 Shs'000	2024 Shs'000
Trade receivables	1,738,714	1,430,790	-	-
Less: Allowance for impairment losses	(67,381)	(26,957)	-	-
	1,671,333	1,403,833	-	-
Prepayments	264,673	267,706	7,820	552
Receivable from KMRC	50,000	50,000	-	-
Foreclosed assets deposits	99,308	99,308	-	-
Foreclosed assets	711,484	866,605	-	-
	2,796,798	2,687,452	7,820	552
12-month ECL:				
At start of year	(26,957)	(61,834)	(13)	(6,970)
Re-measurement during the year	(40,424)	34,877	-	6,957
At end of year	(67,381)	(26,957)	(13)	(13)

Other assets are settled no more than 12 months after the reporting date. All the balances are non-interest bearing.

24 Investment in property fund

	2025 Shs'000	2024 Shs'000
Assets as at start of the year	548,771	380,207
Impairment writeback	85,369	168,564
As at end of the year	634,140	548,771

HF Development and Investments Limited has invested in HF Property fund with a partner Crescent Finco. The assets owned by the property fund will be realized progressively and the proceeds distributed to the partners (Crescent Finco and HF Development and Investment Limited) in accordance with the partnership agreement. Crescent Finco will receive cash distribution first until its investment plus a return of 12% is fully paid. The residue will be distributed to HFDI Limited.

The proceeds from the sale of the assets (housing units) would be used to settle the loan balance to Crescent Finco and any residual balance after clearing the loan balance would go to HFDI Limited.

In December 2024, HFDI paid off Crescent Finco

Notes (continued)

25 Inventories

	Group 2025 Shs'000	2024 Shs'000
At start of the year	482,338	525,819
Inventories (housing units and plots) (sales/additions)	(299,471)	(43,481)
At end of year	182,867	482,338

Inventories held comprise of 2- and 3-bedroom units at Komarock Heights and Theta Dam plots for sale.

26 Deferred income tax

(a) Group

Year ended 31 December 2025	At start of year Shs'000	Recognise d in profit or loss Shs' 000	Recognise d in other comprehe nsive income Shs'000	Prior year (under)/ over provision	At end of year Shs'000
Property and equipment	(27,900)	(32,100)	-	-	(60,000)
Revaluation surplus	(182,088)	3,000	-	-	(179,088)
Financial assets at FVOCI	(76,532)	-	(275,088)	-	(351,620)
Investment property	(44,454)	-	-	-	(44,454)
Other general provisions	(8,448)	(35,459)	-	-	(43,907)
Right of use asset	78,840	(64)	-	-	78,776
Trading losses	821,785	(223,705)	-	1,117	599,197
General provision on loans and advances	1,093,251	137,270	-	-	1,230,521
Deferred income tax	1,654,454	(151,058)	(275,088)	1,117	1,229,425

Deferred tax (liability)/asset

Year ended 31 December 2025	At start of year Shs 000	Charge to P&L Shs 000	At end of year Shs 000
Furniture, fittings and equipment	-	243	243
Provisions	(903)	1,049	146
	(903)	1,292	389

Notes (continued)

26 Deferred income tax (continued)

	2025		2024	
Balance sheet reconciliation (Group)	Deferred tax asset Shs 000	Deferred tax liability Shs 000	Deferred tax asset Shs 000	Deferred tax liability Shs 000
Deferred tax asset	1,229,425	-	1,654,454	-
Deferred tax (liability)/asset	389	-	-	(903)
	1,229,814	-	1,654,454	(903)

(a) Group

Year ended 31 December 2024	At start of year	Recognised in profit or loss	Recognised in other comprehensive income	Prior year under provision	At end of year
	Shs'000	Shs' 000	Shs'000	Shs'000	Shs'000
Property and equipment	(15,240)	(12,660)	-	-	(27,900)
Revaluation surplus	(182,088)	-	-	-	(182,088)
Financial assets at FVOCI	130,548	-	(206,339)	(741)	(76,532)
Investment property	(44,454)	-	-	-	(44,454)
Other general provisions	16,953	(25,401)	-	-	(8,448)
Right of use asset	97,513	(18,673)	-	-	78,840
Trading losses	772,009	49,776	-	-	821,785
General provision on loans and advances	989,228	104,023	-	-	1,093,251
Deferred income tax	1,764,469	97,065	(206,339)	(741)	1,654,454

Deferred tax liability

Year ended 31 December 2024	At start of year	Charge to P&L	At end of year
	Shs 000	Shs 000	Shs 000
Furniture, fittings and equipment	27	(27)	-
Provisions	460	443	903
	487	416	903

Notes (continued)

26 Deferred income tax (continued)

(b) Company

	At start of year	Recognised in profit or loss	Over/under provision of tax	At end of year
	Shs'000	Shs'000	Shs'000	Shs'000
Year ended 31 December 2025				
Property and equipment	(74)	425	-	351
Trading losses	61,357	(137)	1,117	62,337
General provisions	6,532	(4,752)	-	1,780
Net deferred tax	67,815	(4,464)	1,117	64,468
Year ended 31 December 2024		Shs'000	Shs'000	Shs'000
Property and equipment		(44)	(30)	(74)
Trading losses		7,551	53,806	61,357
General provisions		41,870	(35,338)	6,532
Net deferred tax		49,377	18,438	67,815

27 (a) Deposits from customers

	Group	
	2025	2024
	Shs'000	Shs'000
Government and parastatals:		
Payable within 90 days	13,326,577	14,048,664
Payable after 90 days and within one year	-	3,268,948
Private sector and individuals:		
Payable within 90 days	29,443,211	23,045,676
Payable after 90 days and within one year	12,512,612	5,719,585
Payable after one year	591,971	1,387,922
	55,874,371	47,470,795

Notes (continued)

27 (a) Deposits from customers (continued)

The weighted average effective interest rate on interest bearing customer deposits at 31 December 2025 was 5.34% (2024 7.46%). The carrying value of customer deposits approximates their fair value.

The summary of terms and conditions for the various categories of deposits are below:

- (a) Mortgage scheme deposits – These are deposits under scheme arrangements where an employer has provided funds for onward lending to their staff within set rules and regulations. Funded schemes have a lower interest rate than the market whereas for unfunded schemes the interest rates are usually at commercial rates and any discount on rates is based on volumes.
- (b) Fixed term deposits – This account targets both individuals and corporates that will not need to access their funds for duration of time which is usually from 1 to 12 months. The minimum operating balance is Shs 50,000.
- (c) Housing development bond – This account targets individuals who wish to save towards home ownership while at the same time earning attractive interest rates on their deposits. interest earned is subjected to a 10% withholding tax consolidated amount of up to Shs 300,000 as opposed to the normal rate of 15%. The minimum operating balance is Shs 50,000.
- (d) Transactional deposits – These accounts are characterized by unlimited access to funds and they earn no interest. They attract fees based on transactions. The minimum opening balance is Shs 200.
- (e) Current accounts – It allows unlimited access to funds through various channels with the cheque book being the unique instrument used to access the funds. It earns no interest. The minimum opening balance is Shs 2,000.
- (f) Savings accounts - A savings account that earns relatively higher interest. It has limited access to funds. There's no minimum operating balance.

(b) Deposits from banks

	Group 2025 Shs'000	2024 Shs'000
Inter- bank lending	1,022,568	388,106

Notes (continued)

28 Other liabilities

	Group		Company	
	2025	2024	2025	2024
	Shs'000	Shs'000	Shs'000	Shs'000
House sales deposits	98,235	398,569	-	-
Withholding tax payable	170,526	110,831	-	-
Sundry creditors	360,244	360,656	-	-
Trade creditors	1,772,567	1,977,463	-	-
Insurance premium payable	333,472	307,798	-	-
Contractors payables	320,334	169,160	-	-
Asset retirement obligation – right of use asset	-	21,717	-	-
Other payables	991,317	384,729	397,721	590,314
	4,046,695	3,730,923	397,721	590,314

29 Investment property

Investment properties are carried at fair value, representing open market value determined annually by external valuers. Changes in fair values are presented in the income statement in the year to which they relate.

	Group	
	2025	2024
	Shs'000	Shs'000
Fair value		
At start and end of year	1,905,000	1,885,000
Fair value gain	-	20,000
	1,905,000	1,905,000
 Income from investment property		
	2025	2024
	Shs'000	Shs'000
Rental income from operating leases	32,818	33,101
Direct operating expenses from property that generated rental income	(7,518)	(7,785)
	25,300	25,316

Notes (continued)

29 Investment property (continued)

	Level 1 Shs'000	Level 2 Shs'000	Level 3 Shs'000	Total Shs'000
31 December 2025	-	-	1,905,000	1,905,000
31 December 2024	-	-	1,905,000	1,905,000

The following are the main inputs:

- Average occupancy rate: 97% (2024: 96%)
- Weighted average rent of Shs 1,193 (2024: Shs 1,193) per square metre

30 Borrowings

	Group 2025 Shs'000	2024 Shs'000
European Investment Bank (EIB)	259,065	629,938
Shelter Afrique	79,178	239,026
Britam	1,027,000	1,032,501
Kenya Mortgage Refinance Company	2,183,744	789,495
	3,548,987	2,690,960
Current	1,095,695	2,047,419
Non-current portion	2,453,292	643,541
	3,548,987	2,690,960
At start of year	2,690,960	3,740,432
Additions	2,052,359	-
Interest charged in the year *	311,480	335,748
Principal repayments	(1,182,882)	(722,654)
Interest repayments	(306,259)	(313,820)
Foreign exchange impact	(16,671)	(348,746)
At end of year	3,548,987	2,690,960

*Excludes interest charged on GoK income notes Shs 4,198,000 (2024 : Shs 4,198,000)

Notes (continued)

30 Borrowings (continued)

During the year, the Bank did not default on any of the following loan repayment obligations from all the existing lenders.

At 31 December 2025, HFC Limited, a subsidiary of HF Group Plc was in breach of the following loan covenants

Lender	Covenant	Required limit	HFC ratio at end of year
Shelter Afrique	Cost to income ratio	Maximum of 60%	77.19%
Britam	Non- Performing Loans to Total Loans	Minimum of 19.2%	23.90%
European Investment Bank (EIB)	Non-Performing loans to total loans ratio	Minimum of 15%	29.26%
	Open exposure ratio	Maximum of 30%	44.37%

As at 31 December 2025, all the lenders above had provided waivers and hence no impact on the classification of the borrowings

At 31 December 2024, HFC Limited, a subsidiary of HF Group Plc was in breach of the following loan covenants

Lender	Covenant	Required limit	HFC ratio at end of year
Shelter Afrique	Cost to income ratio	Maximum of 60%	93.68%
Britam	Non- Performing Loans to Total Loans	Minimum of 19.2%	26.78%
European Investment Bank (EIB)	Non-Performing loans to total loans ratio	Minimum of 15%	26.78%
	Open exposure ratio	Maximum of 30%	34.05%

Notes (continued)

30 Borrowings (continued)

31 December 2025	Loan balance	Current	Non-current	Interest rate	Issue date	Maturity date
Lender	Shs' 000	Shs' 000	Shs' 000			
European Investment Bank (EIB)	259,065	259,065	-	4.3%	24 Jul 2017	1 Oct 2026
Shelter Afrique Limited	79,178	79,178	-	10.6%	28 Dec 2015	31 Jan 2026
Britam	1,027,000	27,000	1,000,000	15.6%	1 Feb 2021	1 Feb 2028
Kenya Mortgage Refinance Company	2,183,744	730,452	1,453,292	5.4%	31 Mar 2021	31 Mar 2028
	3,548,987	1,095,695	2,453,292			

31 December 2024	Loan balance	Current	Non-current	Interest rate	Issue date	Maturity date
Lender	Shs' 000	Shs' 000	Shs' 000			
European Investment Bank (EIB)	629,938	629,938	-	4.32%	24 July 2017	1 October 2026
Shelter Afrique Limited	239,026	239,026	-	11.50%	28 December 2015	31 January 2026
Britam	1,032,501	1,032,501	-	20%	01 February 2021	01 February 2028
Kenya Mortgage Refinance Company	789,495	145,954	643,541	5.00%	31 March 2021	31 March 2028
	2,690,960	2,047,419	643,541			

The interest rate for EIB, KMRC is fixed. Shelter Afrique borrowing interest rate is based on 6 months SOFR +5.4% margin and Britam loan interest rate is based of CBR+4%.

Notes (continued)

31 Capital and reserves

(a) Share capital

	Group		Company	
	2025	2024	2025	2024
	Shs' 000	Shs' 000	Shs' 000	Shs' 000
Authorised – 1,999,995,255 (2023: 500,000,000) ordinary shares of Shs 5 each	9,999,976	9,999,976	9,999,976	9,999,976
Issued and fully paid – 1,885,488,016(2023: 384,614,168) ordinary shares of Shs 5 each	7,541,940	7,541,940	7,541,940	7,541,940
Movement in ordinary shares				
At start of year (384,614,168)	1,885,485	384,614	1,885,485	384,614
Additional shares (rights Issue)	-	1,500,871	-	1,500,871
	1,885,485	1,885,485	1,885,485	1,885,485
In monetary terms:				
At start of year	9,427,440	1,923,071	9,427,440	1,923,071
Additional capital (rights issue)	-	7,504,369	-	7,504,369
	9,427,440	9,427,440	9,427,440	9,427,440

In December 2024 HF Group Plc mobilized capital through a rights issue. The rights issue priced at Shs 4.00 per share, was structured to offer shareholders two (2) new ordinary shares for every one (1) existing ordinary share held, with the shareholders having the option to apply for additional shares. In addition, it had a green shoe option of up to 30% (equivalent to 384,614,168 shares) to accommodate any potential oversubscription. The grand total number of new shares applied for under the rights issue (Entitlement shares + Additional shares) was 1,595,995,966 with a total gross value of Shs 5,999,999,999.

Notes (continued)

31 Capital and reserves (continued)

(a) Share capital (continued)

HF Group established an Employee Share Options Programme (ESOP) Scheme in 2007, whose main aim was to ringfence talent during the vesting period.

In September 2022, 1,437,500 shares at a price of Shs 3.72 with a vesting period of 2 years were granted to staff based on 2021 individual performance ratings to eligible staff. These shares were to come from the authorised but not paid up shares of the group.

The vesting date was in September 2024 and the options exercised were 878,593 shares with a par value of Shs 4,392,965 out of which Shs 3,268,365 was paid for by staff while the difference of Shs 1,124,600 was expensed to the statement of profit or loss. The balances were deemed not material to be disclosed in the prior year financial statements.

(b) Share premium

This reserve arises when the shares of the Company are issued at a price higher than the nominal (Par) value. In 2024 the Group raised additional capital, issuing 1,499,999 shares at Shs 4 per share. There was a bonus/discount given of Shs 1 for the shares issued which were fully paid through Group share premium account.

	2025	2024
	Shs' 000	Shs' 000
At start of year	2,649,338	4,343,512
Bonus shares fully paid through share premium	-	(1,499,995)
Transactions cost recorded directly in equity	-	(194,179)
At end of year	2,649,338	2,649,338
Reconciliation of the additional capital on the cashflow		
Additional capital	-	7,504,369
Bonus shares fully paid through share premium	-	(1,499,995)
Transaction costs recorded directly in equity	-	(194,179)
	-	5,810,195

(c) Revaluation reserve

The revaluation reserves include the net change in the fair value of land and buildings are to be held until the property is derecognised.

	2025	2024
	Shs'000	Shs'000
At end of year	1,312,129	1,312,129

Notes (continued)

31 Capital and reserves (continued)

(d) Statutory credit risk reserve

The loan loss reserve represents excess of the loans and advances impairment provision determined in accordance with the Central Bank of Kenya's prudential guidelines compared with the requirements of IFRS 9 - *Financial instruments*. These reserves are not available for distribution.

The movement during the year is as below:

	2025 Shs' 000	2024 Shs' 000
At start of year	4,808,520	4,854,473
Transfer	(167,983)	(45,953)
At end of year	4,640,537	4,808,520

(e) Fair value reserve

The fair value reserve includes the cumulative net change in the fair value of debt investments and treasury bonds held at FVOCI until the investment is derecognised when the net changes are recycled to profit or loss.

	2025 Shs'000	2024 Shs'000
At start of year	176,079	(305,378)
Change in fair value during the year:		
Fair value losses on treasury bonds classified as FVOCI	916,959	687,796
Less: Deferred income tax	(275,088)	(206,339)
At end of year	817,950	176,079

32 Government of Kenya income notes and loans

	Group 2025 Shs'000	2024 Shs'000
Government of Kenya – Income Notes	52,860	52,860

* The Government of Kenya – Income notes were transferred from HF Group Plc with effect from 3 August 2015. They carry no redemption date and are charged interest at a fixed rate of 8.25% per annum.

Notes (continued)

33 Cash flows from operating activities

	Note	Group 2025 Shs'000	2024 Shs'000
Profit before income tax		1,609,485	459,993
Adjustments for:			
Group's share of profit from investments in joint ventures	21	(125,431)	(23,243)
Interest expense on lease liabilities	35	19,279	23,611
Depreciation of property and equipment	19	84,806	84,211
Amortisation of right of use asset	35	67,025	76,864
Amortisation of intangible assets	20	68,319	77,443
Loss on sale of repurchased property		30,000	-
Fair value gain on derivatives	37	(15,763)	(15,797)
Fair value gain on investment property	29	-	(20,000)
Gain on modification on lease liabilities		-	(15,491)
Asset retirement liability adjustment		(21,717)	-
Investment in JV impairment writeback	21	(34,664)	-
Investment in LLP writeback	24	(85,369)	(168,564)
Operating profit before changes in operating assets and liabilities		1,595,970	479,027
Increase in customer and banks deposits		9,038,005	4,415,446
Movement in restricted cash balances	16	-	1,475,340
Increase in loans and advances to customers		(2,246,847)	(73,222)
Increase in investment in government securities		(10,263,475)	(7,019,439)
Decrease in inventory		299,471	43,481
Increase in other assets		(109,349)	(192,003)
Increase in other liabilities		377,246	392,271
Decrease in deposit with Central Bank		-	(1,500,000)
Net cash flows from operating activities before tax		(1,308,979)	(1,979,099)

Notes (continued)

33 Cash flows from operating activities (continued)

For the purpose of the statement of cash flows, cash and cash equivalents comprise the following at 31 December:

	Group	
	2025	2024
	Shs'000	Shs'000
Cash and balances with banks (Note 16 (a))	2,282,270	2,578,697
Placements with other banks (Note 16 (a))	7,057	1,066,290
	2,289,327	3,644,987
	Company	
	2025	2024
	Shs'000	Shs'000
Loss before income tax	(20,444)	(73,793)
Depreciation on property and equipment	1,651	242
Decrease in other assets	(7,268)	2,481
Increase/(decrease) in other liabilities	(192,594)	242,875
Net cash flows from operating activities before tax	(218,655)	171,805

Notes (continued)

34 Off-balance sheet contingencies and commitments

(a) Guarantees, letters of credit and commitments

As at 31 December 2025, the Group had issued guarantees and letters of credit in the ordinary course of business to third parties as shown below.

	2025 Shs'000	2024 Shs'000
Guarantees	4,144,367	607,593
Letters of credit	175,932	94,935
Commitments	290,835	79,215
	4,611,134	781,743

Commitments contracted for at the reporting date but not recognised in the financial statements are as follows:

	2025 Shs'000	2024 Shs'000
Loans approved but not yet disbursed	23,047,852	1,643,193

The table below shows the contractual expiry by maturity of the Bank's contingent liabilities. Each undrawn loan commitment is included in the time band containing the earliest date it can be drawn down.

(b) Other contingent liabilities

In the ordinary course of business, the Group is a defendant in various litigations and claims. Although there can be no assurances, the Directors believe, based on the information currently available and legal advice, that the claims can successfully be defended and therefore no provision has been made in the financial statements.

Notes (continued)

35 Leases

The Group as a lessee

The Group leases a number of branch and office premises. The leases typically run for a period between 3 and 10 years, with an option to renew the lease after that date. For some leases, payments are renegotiated every five years to reflect market rentals. Some leases provide for additional rent payments that are based on changes in local price indices.

The Group also leases IT equipment with contract terms of one to three years. These leases are short-term and/or leases of low-value items. The Group has elected not to recognise right-of-use assets and lease liabilities for these leases.

(a) Right-of-use assets

	Leasehold land Shs '000	Office premises Shs '000	IT equipment Shs '000	Total Shs '000
Year ended 31 December 2025				
Cost				
At start of year and end of year	-	645,810	158,888	804,698
Remeasurement during the year	-	52,793	-	52,793
	-	698,603	158,888	857,491
Accumulated depreciation				
At start of year	248	(513,121)	(143,896)	(656,769)
Charge for the year	(248)	(51,785)	(14,992)	(67,025)
	-	(564,906)	(158,888)	(723,794)
At end of year	-	133,697	-	133,697

Notes (continued)

35 Leases (continued)

(a) Right-of-use assets (continued)

	Leasehold land Shs '000	Office premises Shs '000	IT equipment Shs '000	Total Shs '000
Year ended 31 December 2024				
Cost				
At start of year and end of year	-	615,121	158,888	774,009
Remeasurement during the year	-	15,198	-	15,198
Adjustments due to changes in cashflows	-	15,491	-	15,491
	-	645,810	158,888	804,698
Accumulated depreciation				
At start of year	248	(461,682)	(118,471)	(579,905)
Charge for the year	-	(51,439)	(25,425)	(76,864)
	248	(513,121)	(143,896)	(656,769)
At end of year	248	132,689	14,992	147,929

Amounts recognised in profit or loss

Leases under IFRS 16

Interest on lease liabilities	19,279	23,611
Depreciation of right-of-use assets	67,025	76,864

Amounts recognised in statement of cash flows

Total cash outflow for leases	85,561	106,545
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(b) Lease liabilities

	2025 Shs '000	2024 Shs '000
Current	63,804	68,057
Non-current	115,526	124,762
	179,330	192,819

Notes (continued)

35 Leases (continued)

(b) Lease liabilities (continued)

Movement in lease liabilities

	2025 Shs '000	2024 Shs '000
At start of year	192,819	261,513
Additions	52,793	15,198
Remeasurement (cashflows)	-	(958)
Interest expense charged	19,279	23,611
Interest elements of lease payments	(19,279)	(23,611)
Principal elements of lease payments	(66,282)	(82,934)
At end of year	179,330	192,819

Some leases of office premises contain extension options exercisable by the Group up to one year before the end of the non-cancellable contract period. Where practicable, the Group seeks to include extension options in new leases to provide operational flexibility. The extension options held are exercisable only by the Group and not by the lessors. The Group assesses at lease commencement date whether it is reasonably certain to exercise the extension options. The Group reassesses whether it is reasonably certain to exercise the options if there is a significant event or significant changes in circumstances within its control.

The Group as a lessor

The Group leases out part of its property. The Group has classified these leases as operating leases, because they do not transfer substantially all of the risks and rewards incidental to the ownership of the assets.

Rental income earned during the period was Shs.94,541,000 (2024: Shs 86,893,000)

36 Related parties and related party transactions

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operation decisions, or one other party controls both. HF Group Plc is listed on the Nairobi Securities Exchange. The largest shareholder of HF Group Plc is Britam Holdings Plc, which has 48% shareholding. There are other companies which are related to HFC Limited through common shareholdings or common directorships.

Key management personnel are those individuals who have the authority and responsibility for planning and exercising power to directly or indirectly control the activities of the Group (including subsidiaries) and its employees. The Group considers the Board of Directors, executive and non-executive directors, to be key management personnel for the purposes of IAS 24 - related party disclosures.

The Group enters into transactions, arrangements and agreements involving directors, senior management and their related concerns in the ordinary course of business.

Notes (continued)

36 Related parties and related party transactions (continued)

(a) Loans to key management personnel

	Group 2025 Shs' 000	2024 Shs' 000
At start of year	237,045	204,650
Loans disbursed	59,247	115,415
Repayments	(63,516)	(83,020)
At end of year	232,776	237,045
Current	20,647	24,656
Non - current	212,129	212,389
Total	232,776	237,045

(b) Loans to employees

At start of year	1,395,058	1,252,502
Loans advanced during the year	588,662	1,094,157
Loans repayments received	(562,785)	(951,601)
At end of year	1,420,935	1,395,058
Comprising:		
Mortgages and advances	645,388	789,024
Personal loans	744,778	584,861
Staff car loans	30,769	21,173
	1,420,935	1,395,058
Current	150,753	138,099
Non - current	1,270,182	1,256,959
Total	1,420,935	1,395,058

Interest income arising from these employees' facilities amounted to Shs 126,632,000 (2024: Shs 110,366,000)

Notes (continued)

36 Related parties and related party transactions (continued)

(c) Remuneration to directors and key management personnel

	Group	
	2025	2024
	Shs' 000	Shs' 000
Remuneration to executive directors:		
Company*	51,632	74,104
Group**	84,036	50,873
Remuneration to key management	186,019	178,740
	321,687	303,717

* Remuneration to the executive directors of the parent Company, HF Group Plc

** Remuneration to the executive directors of the subsidiary companies in the Group.

(c) Remuneration to directors and key management personnel

	Group	
	2025	2024
	Shs' 000	Shs' 000
Remuneration to key management:		
Salaries and short-term benefits	186,019	178,740
Pension	47,095	28,552
	233,114	207,292

(d) Transactions with Britam Insurance Company (Kenya) Limited

	Group	
	2025	2024
	Shs' 000	Shs' 000
Bank balances held with HFC Limited	55,866	58,872

Notes (continued)

36 Related parties and related party transactions (continued)

	Group	
	2025	2024
	Shs' 000	Shs' 000
Group Life Assurance	30,046,298	23,257,937
GPA & WIBA	12,308,930	10,862,943
Inpatient Medical Insurance	45,650,689	39,872,341
Bankers Blanket Insurance	24,082,835	19,949,483
Outpatient Medical Insurance	66,261,636	58,877,719
Others	17,446,728	14,452,699
	195,797,116	167,273,122
(e) Transactions with Britam SEZ Limited		
Bank balances held with HFC Limited	14,703	45,144
(f) Transactions with Britam Foundation		
Bank balances held with HFC Limited	1,500	45,144
(g) Transactions with HF Development and Investment Limited		
Bank balances held with HFC Limited	156,050	80,813
Loans and other receivables	1,393,496	1,423,844
	1,549,546	1,504,657
Opening balance	1,423,844	344,096
Cost recharges and advances	152,537	1,073,516
Interest charged	162,159	53,682
Payments	(345,044)	(47,450)
	1,393,496	1,423,844

Notes (continued)

36 Related parties and related party transactions (continued)

(h) Transactions with HF Bancassurance Intermediary

	Group 2025 Shs'000	2024 Shs'000
Bank balances held with HFC Limited	98,928	103,730
Other receivables	52,289	28,384
	151,217	132,114
Opening balance	38,384	17,146
Cost recharges	31,445	21,238
Payments	(17,539)	-
	52,290	38,384

(i) Transactions with HF Foundation

Bank balances held with HFC Limited	710	686
Other receivables	-	4,139
	710	4,825
Opening balance	4,825	4,262
Cost recharges	544	563
Payments	(5,369)	-
	-	4,825

(j) Transactions with First Permanent (East Africa) Limited

Bank balances held with HFC Limited	1	283
Other receivables	-	455
	1	738

Notes (continued)

36 Related parties and related party transactions (continued)

(j) Transactions with First Permanent (East Africa) Limited (continued)

	Group	
	2025	2024
	Shs'000	Shs'000
Opening balance	455	455
Cost recharges	-	-
Payments	(454)	-
	1	455

(k) Transactions with Precious Heights Limited

Bank balances held with HFC Limited	8,121	1,244

(l) Transactions with Kahawa Downs Limited

Bank balances held with HFC Limited	19,179	17,932

(m) Transactions with Clay City Limited

Bank balances held with HFC Limited	2,598	1,758

(n) Transactions with Richland Development Limited

Bank balances held with HFC Limited	99	11,693

(m) Transactions with Housing Finance Development and Investment Property Fund

Bank balances held with HFC Limited	41	34

(o) Transactions with Agricultural and Industrial Holdings Ltd

Opening balance	25,777	58,199
Payments	(14,618)	(32,422)
	11,159	25,777

Notes (continued)

36 Related parties and related party transactions (continued)

(p) Transactions with Micro Land Investments

	Group	
	2025	2024
	Shs'000	Shs'000
Opening balance	9,205	9,452
Payments	(317)	(247)
	8,888	9,205

37 Derivative liabilities

The Group's derivative financial instruments are entered into for trading purposes. The fair value of all derivatives is recognised in the statement of financial position and is only netted to the extent that there is both a legal right of set-off and an intention to settle on a net basis, or the intention to realise the derivative asset and settle the derivative liability simultaneously. At 31 December 2025 all derivatives are to be settled on a gross basis.

The table below shows the fair values of currency forwards recorded as assets or liabilities together with their notional amounts. The notional amount, recorded gross, is the amount of a currency forward or swap's underlying off-balance sheet asset / liability and is the basis upon which changes in the fair values of currency forwards and swaps are measured. The notional amounts indicate the volume of transactions outstanding at the year-end.

	2025				2024			
	Notional amount asset Shs'000	Notional amount liability Shs'000	Fair value asset Shs'000	Fair value liability Shs'000	Notional amount asset Shs'000	Notional amount liability Shs'000	Fair value asset Shs'000	Fair value liability Shs'000
Forwards	1,009,475	1,009,475	962,539	946,776	989,271	989,271	952,237	937,140

The table below summarises the currency forwards subject to offsetting, whose net amounts are presented in other assets.

	2025				2024	
	Fair value asset Shs'000	Fair value Liability Shs'000	Fair value asset Shs'000	Fair value asset Shs'000	Fair value Liability Shs'000	Fair value liability Shs'000
Forwards	962,539	946,776	15,763	952,937	937,140	15,797

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